American Postal Workers Union, AFL-CIO

CBR

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ARTICLES 15 AND 16
1998-2000 NATIONAL AGREEMENT

CONTRACT INTERPRETATION
OF
NEW PROVISIONS



COLLECTIVE BARGAINING REPORT

INTRODUCTION

June 1999

Dear APWU Representative:

The purpose of this Collective Bargaining Report (CBR) is to provide an explanation and the intent of the new provisions that were negotiated in Articles 15 and 16 of the 1998-2000 National Agreement. This information is intended for the use of APWU representatives as a resource or training tool concerning the interpretation, application of, or compliance with the negotiated provisions of Articles 15 and 16 of the Agreement. As you may recall, the parties agreed (see MOU on page 51) that, due to the significant modification to the grievance-arbitration procedure, the changes to Article 15 and Article 16 will not become effective until six (6) months after the National Agreement is ratified. The Agreement was officially ratified, and signed by the parties on January 12, 1999. During the interim period (up until the effective date of the changes) we will continue to use the contract language of Articles 15 and 16 as written in the 1994 Agreement. **The new provisions in Article 15 and Article 16 will become effective July 12, 1999.**

As you know, there were several changes to the grievance-arbitration procedure in Article 15, and one change in Article 16 of the 1998-2000 National Agreement between the USPS and APWU. We made these changes in an attempt to improve the process and have grievances adjudicated in a timely fashion. It should be noted that the changes APWU was successful in negotiating in Articles 15 and 16 are consistent with standing convention resolutions passed by the membership.

While there were several changes in Article 15, the following represents a brief summary of the significant changes that were made and the area of responsibility associated with the changes:

1. The change in Step 1(a) requires management to designate the appropriate supervisor or manager responsible for handling class-action grievances. The new provision places an additional obligation on the Postal Service to ensure that the supervisor or manager discussing a Step 1 class action grievance, is the responsible postal official who has the authority to settle the grievance.

2. The new changes in Step 2(h) will directly impact local unions in that the local steward or officer responsible for appealing Step 2 grievances will have to appeal certain types of grievances from Step 2 directly to arbitration, rather than to Step 3. Under the new provisions disciplinary grievances, contract grievances involving any Local Memorandum of Understanding's (LMOU contract) dispute and grievances filed over expedited arbitration issues (see MOU on page 43) will now be appealed directly to arbitration from Step 2. Any Step 2 grievances appealed directly to arbitration will be appealed, using a newly developed "Appeals to Arbitration From Step 2 Grievance Form."

   The time limit for appealing Step 2 grievances to Step 3 is still fifteen (15) days from receipt of the Step 2 decision. However, the time limit is thirty (30) days for appealing Step 2 disciplinary grievances, LMOU grievances, and grievances involving expedited arbitration issues, directly to arbitration. In regard to time limits, the APWU was successful in negotiating protection for local unions that provides, if the local union incorrectly appeals a Step 2 grievance to the wrong

Step (Step 3 or arbitration), such grievances will not be considered untimely or as a waiver of the grievance.

3. There was progress in two areas concerning the placement of union grievances at the head of the arbitration docket. Under the Step 3 process, where grievances appealed to Step 3 involved the same or similar issues, the union has a right to select a "representative" grievance. And, at Step 3 the union has the right to initiate and file grievances directly at Step 3 – concerning any new or changed "District or Area" wide policy, instruction or guidelines. The union was successful in negotiating provisions that "representative" grievances and "District/Area Wide Policy" grievances filed directly at Step 3 are placed at the head of the appropriate arbitration docket. These changes directly impact National Business Agents, who are responsible for handling Step 3 grievances, and Regional Coordinators who are the APWU officials responsible for the scheduling and assignment of regional arbitration cases.

4. In regard to the general arbitration provisions, we negotiated language that provides for pending cases on the arbitration docket to be assigned to advocates for review at least 60 days prior to the scheduled arbitration date – with the intent to provide the parties the opportunity for discussion for possible resolution no later than 30 days before the scheduled arbitration date. The new changes would directly affect National Business Agents and designated national arbitration advocates, who are responsible for hearing cases in arbitration.

5. The APWU negotiated provisions establishing "District" arbitration panels, instead of area level arbitration panels. In addition, there will be four separate arbitration dockets for each district. For example, there will be one for (1) removals of more than 14 days, (2) for expedited cases, (3) for contract cases, and (4) for impasse disputes from local negotiations. The establishment of "District" panels directly affects Regional Coordinators who are the APWU officials responsible for establishing District arbitration panels.

6. In regard to the scheduling of arbitration cases, there are new provisions that provide for arbitration cases (when volume permits and arbitration dates are available) to be scheduled and heard within 120 days from date of appeal, unless the parties otherwise agree. The new provisions will directly affect Regional Coordinators who are the APWU officials responsible for the scheduling and assignment of arbitration dates and cases.

7. We negotiated provisions that require national level "interpretive" disputes to be initiated at the national level, rather than at the Step 3 area/regional level. If either party's Step 3 representative believes that a grievance involves an interpretive issue or that a case referred to regular arbitration involves an interpretive issue, the issue must be referred to their respective national representative, who is responsible for determining whether the issue is interpretive. If either party's national representative determines the issue is interpretive, a written notice must be sent to the other party, initiating a dispute at the national level.

   These changes directly affect National Business Agents who are responsible for handling Step 3 grievance and/or national arbitration advocates, concerning how interpretive issues are determined and such disputes initiated. In addition, these changes will directly affect the parties at the national level who are responsible for determining whether an issue is interpretive. In the event a dispute is initiated, a written notice must be provided to the other party, specifying in

details the facts giving rise to the dispute, the precise interpretive issue to be decided and the party's contention.

There was one change in the discipline provisions of Article 16 of the Agreement. Under the provisions of Section 4 of Article 16 concerning suspensions of fourteen (14) days or less, the APWU was successful in negotiating language that requires the Postal Service to delay the effective date of such suspensions (if a grievance is filed) until disposition of the grievance, either by settlement or the outcome of arbitration.

Greg Bell, Director
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NEW PROVISIONS

ARTICLE 15
GRIEVANCE-ARBITRATION PROCEDURE

This portion of the CBR only lists, addresses and explains those sections in Article 15 where there was new language negotiated in the 1998-2000 National Agreement.

Section 2, Step 1 (a) - Grievance Procedure Steps *See pg. 25*

Under the new provision in Step 1(a) the Postal Service has the obligation to designate the appropriate Management official, who is responsible for handling a class action grievance. It is the intent of the new provision to have the local management designate the appropriate supervisor or manager who has knowledge of the decision or violation being grieved and who has the authority to settle the grievance. Moreover, the intent of the new provisions is to enhance good-faith discussions and the chances for resolution at the earliest step of the grievance-arbitration process.

It should be noted that under the provisions of Article 15, the contract requires that Management's representative at each step of the grievance procedure have the authority to settle grievances. The provision governing the authority of the parties' representatives at Step 1 is located in Article 15.2 Step 1(b). While there is nothing in the contract that would prohibit the USPS Step 1 representative (or the APWU representative) from consulting with higher levels officials on an issue being grieved, the contract requires that the parties who handle the Step 1 discussion of a complaint retain independent authority to settle the dispute. Absence or short of such authority to settle a grievance, would be a violation of the collective bargaining agreement.

In many cases, the supervisors or managers with whom you currently discuss or initiate class action grievances will probably not change. However, there are cases when a steward or officer files a class action grievance at Step 1, and the supervisor or manager handling the grievance either does not have any **real** authority to settle the grievance and/or was not the one who made the decision or policy being grieved. As a result, there are no good-faith discussions and such grievances normally are automatically denied.

Who is the appropriate management Step 1 designee to handle a class action grievance is determined locally, the same as who is an employee's immediate supervisor. In some facilities, management has a practice of designating someone to handle grievances. Some locals as a practice request the name of management's representative responsible for handling class action grievances, in general or on a case by case basis, when a class action is filed. Some facilities have practices where the steward discusses and initiates class action grievances against the immediate supervisor of employees in the affected work location where the dispute occurred, or with the steward's immediate supervisor, or the supervisor or manager in charge of a particular section, tour or facility. In each of these situations, the supervisor or manager handling the grievance would be the responsible postal official designated to

handle the grievance. The practices vary. In your local, you may not have any problems discussing complaints or grievances with the appropriate supervisor or manager who is responsible for handling such disputes and who has the authority to settle.

In the absence of local management providing you the names of a supervisor or manager who is responsible for handling a class action grievance, when filed, you should continue your existing practice regarding filing and initiating class action grievances. Whatever practice that you may have locally, you should ensure that grievances are filed within the contractual time limits.

Section 2, Step 2 (g) - Grievance Procedure Steps *See pg. 27*

Under the provisions of Article 15.2 Step 2(g), within 10 days of receipt of the Step 2 decision, the union can make any corrections or additions that it deems necessary. The filing of corrections or additions does not affect the time limits for appeals to Step 3 or arbitration.

The previous language only covered appeals to Step 3. The new language includes "arbitration." The new language reflects the changes made in Step 2 (h) and is intended to ensure that the filing of **corrections and additions** does not affect the time limits for appeals from Step 2 directly to arbitration. Please note that the local steward or officer is entitled to time on-the-clock to write the union's corrections and additions to the Step 2 decision.

Section 2, Step 2 (h) - Grievance Procedure Steps *See pg. 27*

Under the new provisions in Step 2(h) of the local union is **required** to appeal an adverse Step 2 decision directly to arbitration (rather than Step 3) for disciplinary grievances or contract grievances which involve the interpretation, application of, or compliance with the provision of any Local Memorandum of Understanding, and issues the parties agreed are appealed to Expedited Arbitration.

Disciplinary Grievances

The following represent disciplinary grievances to be appealed from Step 2 directly to arbitration pursuant to Step 2(h) of the Agreement:

- **Letters of Warning** (Article 16.3)
- **Suspensions of 14 Days or Less** (Article 16.4)
- **Suspensions of More Than 14 Days or Discharge** (Article 16.5)
- **Indefinite Suspension Crime Situation** (Article 16.6)
- **Emergency Procedure** (Article 16.7)

Please be advised that when an employee is placed on non-duty, non-pay status pursuant to Article 16.7 (Emergency Procedure), such action is regarded as discipline in situations where management's use of the emergency procedure involved employee misconduct. However, there are situations where

management can take action pursuant to Article 16.7 that may not involve an employee's misconduct, and would not be considered discipline. For example, where an employee is placed off the clock pursuant to Section 7 because he or she may be injurious to self or others.

Letter of Intent - Article 16.7 Emergency Procedure

Since Section 7 is considered an integral part of the Article 16 discipline procedure, the parties have mutually agreed that all Step 2 grievances filed pursuant to Article 16.7 (disciplinary and non-disciplinary), are to be directly appealed to arbitration (see Letter of Intent, page 41). In addition, this should eliminate the delay in having employees' grievances adjudicated in a timely fashion, because their cases may have been listed on the "Contract" arbitration panel, rather than the "Discipline" arbitration panel. As you know, discipline cases are generally scheduled and heard in arbitration more quickly than contract cases.

Please note, that Step 2 non-disciplinary grievances filed pursuant to Section 7 are considered as "contract" grievances. Grievances filed in regard to Section 7 should be identified on the Step 2 Appeal Form as either "Emergency Procedure" or "Emergency Placement," as the type of contract case being grieved. For background information on Article 16, Section 7 see summary of (Arbitrator Richard Mittenthal) national level decision dated August 3, 1990 on page 74.

Local Memorandum of Understanding (LMOU) Grievances

Any Step 2 grievance where the primary article(s) or dispute(s) being grieved is over the interpretation, application of, or compliance with the LMOU, is be appealed directly to arbitration.

Since the local parties negotiate LMOUs, and not the national parties, it is the intent of the new provisions in Step 2(h) that where the local parties are unable to resolve disputes regarding the interpretation, application of, or compliance with their LMOU, that such disputes are appealed from Step 2 directly to arbitration.

National Agreement Disputes

Step 2 grievances where the primary article(s) or dispute(s) being grieved is over the interpretation, application of, or compliance with the National Agreement **will continue to be appealed to Step 3 of the grievance procedure.** Unless the dispute is over an issue in the National Agreement that the parties have agreed will be heard in "Expedited Arbitration."

Expedited Issues' Grievances

Any Step 2 grievance where the issue being grieved is an issue that the parties have identified and agreed will be heard in Expedited Arbitration, is to be appealed directly to arbitration.

The list below represents issues that the parties agreed will be heard in Expedited Arbitration, and that are identified and located in the "Expedited Arbitration - MOU" on page 42. Therefore, Step 2 grievances where the issues being grieved are issues identified to be heard in expedited arbitration, are to be appealed directly to arbitration.

Please note that the MOU (Item 11) also permits the parties at the regional level to mutually agree to additional matters to be heard in expedited arbitration. It is the responsibility of the APWU Regional Coordinators to notify locals in their respective region of any additional items that they may agree to at the regional level.

In addition, the responsibility for identifying and placing grievances appealed to arbitration on the appropriate arbitration docket/panel **will continue to be at the regional level**, including Step 2 grievances appealed directly to arbitration pursuant to Step 2(h), and **is not** the responsibility of the local union.

MOU - Expedited Arbitration

1. Individual Overtime Grievances
2. Withholding of Step Increases' Grievances
3. Individual Leave Requests Grievances Concerning
   - Annual Leave
   - Sick Leave
   - Leave Without Pay
   - Court Leave
   - Restricted Sick Leave, and
   - Requests for Medical Certification
4. AWOL
5. Individual Holiday Scheduling Grievances
6. Suspensions (Except Emergency Suspensions)
7. Article 25, Higher Level Assignments
8. Employee Claims
9. Letters of Demand of Less Than $2,000
10. Individual Clerk Craft Seniority Disputes
11. Such Other Matters as are Mutually Agreeable at the Area/Regional Level

When Appealing Step 2 Grievances Directly to Arbitration

Enclosed you will find the **"Appeal to Arbitration From Step 2 - Grievance Form"** on page 77, that has been developed to be used when appealing Step 2 grievances directly to arbitration.

Please note, that the new "Appeal to Arbitration From Step 2 - Grievance Form" will be mailed to each local union. If additional forms are needed, locals can obtain the forms by ordering them through the APWU Order Department, at no charge. In addition, for those local unions where the APWU made available the grievance tracking program, updated software will be provided to accommodate the new forms, at no charge.

Where Grievances Are Appealed To

Any Step 2 grievances appealed directly to arbitration, must be appealed to the appropriate Grievance/Arbitration Processing Center within (30) days after the receipt of the Employer's Step 2 decision. The appropriate Grievance/Arbitration Center **is the same** Grievance Processing Center that you currently send your Step 3 appeals to. **Therefore, your "Step 2 direct appeals to arbitration" are sent to the same location as your Step 3 appeals.**

When appealing a Step 2 grievance directly to arbitration, you must include copies of (1) the standard grievance form, (2) the Employer's written Step 2 decision, and if submitted, (3) the Union corrections or additions to the Step 2 decision. **In other words, you must include the same documents (grievance papers) that you include when appealing a grievance to Step 3.**

In addition, when appealing a Step 2 grievance directly to arbitration, you must send a copy of the entire case file to the appropriate National Business Agent (NBA) office, including copies of (1) Step 2 Grievance Direct Appeal to Arbitration Form, (2) the standard grievance form, (3) the Employer's written Step 2 decision, and if submitted, (4) the Union corrections or additions to the Step 2 decision. In other words, you must send a copy of the grievance papers, including the entire grievance file (all relevant papers or documents), the same information that you include when sending the case files to the NBA, when appealing a grievance to Step 3. The appropriate National Business Agents are the same National Business Agents that you currently send your Step 3 appeals case files to. **Therefore, a copy of the entire case files of Step 2 grievances appealed directly to arbitration must be sent to the same National Business Agents that you send your Step 3 grievance case files.**

USPS Failure to Render Step 2 Decision

Please note, that in the event that management fails to render a Step 2 decision within the 10-day contractual time limits provided for in Article 2. Step 2 (f), you should move (appeal) the grievance to arbitration within 30 days from the expiration of the 10-day time limit for rendering a Step 2 decision, unless the parties mutually agree to extend the time limits (see Article 15.4.C). You must appeal to the next step (arbitration), the same as you would do if you were appealing a grievance to Step 3, if the Postal Service failed to render a decision within the prescribed time limits. However, in the case of grievances being appealed to Step 3, you must appeal to Step 3 within fifteen (15) days from the expiration of the 10-day time limit for rendering a Step 2 decision.

In the absence of mutual agreement to extend time limits, the Postal Service's failure to render a Step 2 decision within the prescribed time limits would constitute a violation of Article 15.4.C of the National Agreement. Any agreement to extend time limits should be in writing, and included in the grievance case files. In the event that the Postal Service rendered a Step 2 decision, after the grievance has been appealed to arbitration, you should send a copy of the Step 2 decision to your National Business Agent, the same as would for a grievance appeal to Step 3.

Step 2 Grievances Incorrectly Appealed to the Wrong Step

In regard to the new provisions in Step 2(h), the parties negotiated a MOU that provides protection to local unions, in the event that the union appealed a grievance under this provision to the incorrect Step (Step 3 or arbitration) of the grievance procedure.

MOU - Timeliness Regarding Step 2(h) Appeals

The MOU regarding Step 2 appeals on page 43, provides that when the Union incorrectly appeals a grievance under Article 15.2 Step 2(h) to Step 3 rather than to arbitration, such grievances will not be considered untimely or as a waiver of the grievance, provided there was a timely appeal to Step 3.

Letter of Intent - Article 15.2 Step 2(h) MOU

It is the intent of the MOU to include those circumstances where the Union incorrectly appeals a grievance under Article 15.2 Step 2(h) to arbitration, and that such grievances will not be considered untimely or a waiver of the grievance, provided there was a timely appeal to arbitration. To clarify the intent of the MOU, the parties mutually agreed to a "Letter of Intent" located on page 44.

Responsibility and Cost for Arbitration

The new provisions in Step 2(h) do not change existing internal APWU policies regarding the cost of arbitration and who is responsible for arbitration.

Any Step 2 grievance directly appealed to arbitration pursuant to Step 2(h) is considered a nationally certified arbitration case, the same as if the grievance was appealed to arbitration from Step 3, and is subject to review by your respective National Business Agent. Moreover, your respective National Business Agent or national advocate designated to handle the nationally certified arbitration will continue to have the same authority, such as:

- to settle, withdraw or arbitrate,
- to contact the local, if he or she believes that there is insufficient information in the case file or additional documentation is needed in order to determine whether a case is to be settled, withdrawn or arbitrated,
- to determine whether a case should be selected as a representative grievance, where grievances have been mutually agreed to as involving the same, or substantially similar issues or facts, and
- to discuss and/or seek determination by their National Representative - any issues that he or she believes to be interpretative.

In regard to cost, the national union will pay the cost for arbitration, unless your respective National Business Agent based on the case files determines not to take a case to arbitration, but gives the local the option of taking the case to arbitration at the local expense (consistent with whatever existing practices/policies you may have in your respective region).

In those locals that do not have nationally certified advocates, your respective National Business Agent or a designated national advocate will continue to handle your local's nationally certified cases in arbitration.

Section 2, Step 3 (c) - Grievance Procedure Steps *See pg. 27*

Under the new provisions of Step 3(c), national level interpretative disputes will be initiated at the national level, rather than appealed at the Step 3 regional level.

If either party's Step 3 or regional representatives believe that a grievance involves an interpretive issue, the issue must be discussed with their respective national representative at the headquarters level. If either party's national representative determines the issue is interpretative, a written notice must be sent to the other party, initiating a dispute at the national level. The grievance in question, is held at the area (regional) level pending the outcome of the dispute at the national level. If the parties at the Step 3 level identified other grievances that involve the same or similar interpretative issue in dispute, such grievances should be held pending the outcome at the national level.

The parties' national representative initiating a dispute is required to provide written notice to the other party, (1) specifying in detail the facts giving rise to the dispute, (2) the precise interpretative issue to be decided and (4) the party's contention.

The new process should eliminate Step 4 grievances from being initiated as interpretive, unless the parties identify the interpretive issue and the parties' contention. It will also enable us to provide local unions and APWU regional representatives an updated list of pending national level issues, on a regular basis.

MOU - Article 15.2 Step 3 (c)

In an effort to improve the process, the parties agreed to the above-referenced MOU regarding Section 2, Step 3 (c), located on page 45. The intent of the MOU is to (1) ensure that before a grievance can be held in abeyance at Step 3, written notification is given to the other party, and (2) in the event no dispute is initiated, the grievance will move forward and be processed within a reasonable time period in accordance with the procedures and time limits applicable to Step 3 grievances. The MOU provides the following:

- if either party's Step 3 representative believes a grievance involves an interpretative issue and forwards the issue to their national representative for determination, written notification must be provided on a jointly developed form (page 78) to the other party,
- the party's national representatives will have thirty (30) days from receipt of notification to make a determination whether to initiate a dispute,
- if a dispute is initiated, the party initiating the dispute will provide a copy of the written notice to their Step 3 representative, and in the event no dispute is initiated within 30 days, the parties at Step 3 will move forward with the grievance and meet no later than fifteen (15) days from the expiration of the 30-day period, applying the procedures and time limits applicable to Step 3 grievances.

When Written Notification is Necessary

Written notification is only necessary if either party at Step 3 believes a grievance involves an interpretive issue **and** is attempting to delay further processing of the grievance in question by having the grievance held in abeyance at Step 3, pending the outcome at the national level. Nothing in the Agreement prohibits either party at Step 3 from seeking an interpretive review from their national representative at any time. However, written notification is required to be given to the other party before the Step 3 process is delayed and the grievance can be held in abeyance. In the absence of written notification being provided to the other party, the procedures and time limits applicable to Step 3 grievances continue to apply.

Previous Contract Provisions

The previous provisions in Article 15 that required the union to appeal a grievance to Step 4, if the Postal Service Step 3 representative maintained in it Step 3 decision that the grievance involves an interpretive issue, was deleted. In addition, the rights of either party at Step 3 to initiate interpretive disputes, were eliminated. Most cases appealed from Step 3 were cases that the Postal Service took the position that the cases in question involved an interpretive issue.

However, the APWU used an internal process for referring Step 3 grievances that the union believes involved an interpretive issue, to national for an "interpretive review." APWU Step 3 representatives would appeal the case to "Regular" arbitration and then send a copy of the complete file to Industrial Relations for interpretive review. If a determination was made that the grievance involved an interpretive issue, the grievance would be appealed at the national level. Once the case is appealed to Step 4, it is removed from the regular arbitration panel. Thereafter, the time limits and procedures applicable to Step 4 national level grievances apply.

APWU Internal "Request for Interpretive Review" Process

The APWU internal interpretive review process was implemented because once a case was appealed to Step 4, if not settled, arbitrated or withdrawn, it could only be remanded by mutually agreement of the parties at the national level. When a case is appealed to regular arbitration and submitted for an interpretive review, it affords the National Arbitration Committee the opportunity to determine whether a case should be appealed to Step 4 or remain at the regional regular arbitration level to be heard. Moreover, we would have a copy of the USPS Step 3 decision for our review in determining whether there is an interpretive dispute between the parties. In addition, in the event that a dispute is not initiated at the national level – the case would not be delayed, and would remain on the arbitration docket in the order of date appealed. The APWU was successful in making modification in the Step 3 and Step 4 process consistent with our internal "interpretive review process."

When the APWU Refers Issues from Step 3 to National

Please note, that the union will continue to use our internal "interpretive review process" when the APWU is referring an issue from Step 3 to the national union for a determination regarding whether a grievance involves an interpretive issue. If the National Business Agent (NBA) at Step 3 believes that a grievance involves an interpretive issue or one of general application, the following internal process will apply:

- Appeal the case to Regular arbitration, and send a copy of the grievance papers to Industrial Relations for "Interpretive Review," along with a completed copy of the revised "Request for Interpretive Review" form (see page 79).

- When a case is submitted for interpretive review, it is assigned to the appropriate Article Officer and then discussed at our National Arbitration Committee meeting. The Arbitration Committee consists of the Director of Industrial Relations and resident Craft Officers.

- Based on the outcome of the Committee review, the Industrial Relations Director is responsible for making the final determination regarding whether an issue concerning Article 1 thru 36 is interpretive. However, the Craft Directors are responsible for making the final determination, concerning issues in their respective craft article.

- An explanation will be provided if it is determined that there is no interpretive issue or the issue is not of general application, within thirty (30) days of receipt of the request for interpretive review.

- If a determination is made that an issue is interpretive or one of general application, a dispute will be initiated at the national level, and the grievance is held at the area/regional level pending the outcome of the dispute at the national level pursuant to Article 15.2, Step 4 (a) of the Agreement. If the parties at the Step 3 level identified other grievances that involve the same or similar interpretive issue in dispute, such grievances should also be held pending the outcome at the national level.

When the USPS Refers Issues from Step 3 to National

Please note, that if the Postal Service Step 3 representative provides written notification to the National Business Agent that they believe a grievance involves an interpretive issue and is forwarding the issue to their national representative, the grievance is held pending the outcome at the national level. **A copy of the grievance papers should be forwarded to the national union, including a copy of the written notification.** If a dispute is initiated at the national level, the respective National Business Agent will be notified. If you do not receive any notice informing you that a dispute was initiated at the national level the case should be processed pursuant to the above-referenced MOU.

Section 2, Step 3 (e) - Grievance Procedure Steps *See pg. 28*

Under the Step 3 process, where grievances appealed to Step 3 involved the same or similar issues, the union has a right to select a "representative" grievance. Grievances where the parties mutually agreed that are the same or similar are held at Step 3 pending resolution of the "representative" grievance. Under the new provision in Step 3 (e), "representative" grievances are placed at the head of the appropriate arbitration docket.

Section 2, Step 3 (f) - Grievance Procedure Steps *See pg. 28*

At the Step 3 area/regional level, the union has the right to initiate and file grievances directly at Step 3 concerning any new or changed District or Area wide policy, instruction or guidelines. These types of policies would normally affect more then one local union, located within the same district or area. Under the new provision in Article 15.2 Step 3 (f), grievances filed directly at Step 3 are placed at the head of the appropriate arbitration docket.

Section 2, Step 4 (a) - Grievance Procedure Steps *See pg. 28*

Under the new provisions of Step 4 (a), if an interpretative dispute is properly initiated at the national level, the parties will meet within thirty (30) days after the initiation of such dispute. If the parties failed to reach agreement within fifteen (15) days of their Step 4 meeting, each party has to provide the other with a statement in writing of its understanding of the issues involved, and the facts giving rise to the interpretive dispute.

The parties still have the authority by mutual agreement, to return any dispute to Step 3 where the parties agree that no national interpretive issue is fairly presented or it appears that all relevant facts have not been developed adequately.

If the parties failed to reach agreement within sixty (60) days of the initiation of the dispute, the union may appeal it to national arbitration within thirty (30) days thereafter. Any local grievances filed on the specific interpretative issue in dispute are held in abeyance either at the appropriate level (local or regional) pending resolution of the national interpretative dispute.

Section 4.D. Grievance Procedure - General *See pg. 30*

Under the new provisions of Article 15. 4.D., if there is a dispute between the parties regarding the interpretation of the Agreement, either party at the national level may initiate a dispute at Step 4. Local grievances filed on the specific interpretive issue are held at the respective step or level where such grievances were being processed at the time the parties become aware that there is a pending national dispute.

Rights Under the Previous Contract

Under the previous contract, if there was a dispute between the parties over the interpretation of the Agreement, only the Union at the national level had the authority to initiate an interpretive dispute at the national level. However, the Postal Service had the authority to initiate an interpretive dispute at the regional level.

Under the previous contract, if either party's representative maintains that a Step 3 grievance involves an interpretive issue the union was **entitled** to appeal to Step 4. However, if the Postal Service Step 3 representative maintained in it Step 3 decision that the grievance involves an interpretive issue, the Union was **required** to appeal to Step 4, rather than area/regional arbitration (even if the union disagrees).

In addition, either party at the regional level had a right to have a grievance withdrawn from regular arbitration and the grievance would therefore be appealed to Step 4, if they maintained that the case involved an interpretive dispute. Once a grievance was appealed to Step 4, it had to either be (1) remanded by mutual agreement, (2) settled, (3) arbitrated, or withdrawn. Most of the grievances at the national level are grievances the Postal Service maintained are interpretive (requiring grievances to be appealed to Step 4), despite the fact that most of the grievances appealed to Step 4 are returned by the parties at Step 3, as non-interpretive.

New Provisions

The new provisions in this section and throughout the contract regarding national interpretive disputes are intended to improve the process, and require that national level disputes be initiated by the parties at the national level, rather than at the Step 3 level.

Section 5.A.4. Arbitration (General Provisions) *See pg. 31*

Under the new provisions of Article 15.5.A.4 the National Business Agent or national advocate designated to handle arbitration cases, will be provided (from the Regional Coordinator or NBA office) a list of pending cases on the arbitration docket at the location (or local), sixty (60) days prior to the scheduled arbitration date. If possible, the parties will discuss the cases no less than thirty (30) days prior to the scheduled date. Please note, that in order to comply with this section, the Postal Service would be required to notify the APWU who their advocate will be at least 30 days prior to the scheduled date. This should help eliminate the problem of not knowing until the last moment who the Postal Service advocate will be handling scheduled arbitration cases.

Cases are scheduled for arbitration in the order in which appealed, unless the parties otherwise agree. Advocates hear cases in the order of their appearance on the scheduling letter, unless a deviation is agreed to by both parties. A minimum of six (6) expedited or three (3) regular cases, when available, are scheduled for each hearing date.

Backup cases include all cases pending at that location. In the event that the parties settle and/or withdraw all cases on the scheduling letter five (5) or more days prior to the scheduled arbitration date, back-up cases are to be scheduled in the order they appear on the District docket.

Section 5.B.1. District Level Arbitration - Regular *See pg. 33*

The new provisions of Article 15.5.B.1 establish "District" arbitration panels, instead of "Area" arbitration panels, and create a separate panel for contract disputes and impasse disputes. For example, there will be four (4) arbitration dockets for each District:

- one for removals and suspensions of more than 14 days or 14 days or less referred from Expedited Arbitration,
- one for all cases referred to Expedited Arbitration,
- one for contract disputes, and
- one for impasse disputes from local negotiations.

Please note that pursuant to the provisions of Article 15.5.C.2 of the Agreement, either party can refer a case from the Expedited Arbitration panel to the Regular Arbitration panel.

In the past there have been complaints from local unions who felt that their cases were not being scheduled for arbitration, while other local unions' cases were being scheduled. A resolution, passed by the membership at the 1998 National Convention, mandated that the union attempt to establish "District" arbitration panels, instead of "Area" arbitration panels through contract negotiations. The APWU was successful. The intent of the new provision is to ensure that local unions will have their own "District" arbitration panels to hear their cases.

Section 5.B.1.a. District Level Arbitration - Regular *See pg. 32*

This section provides for arbitration cases to be scheduled and heard within 120 days of appeal.

Letter of Intent - Article 15.5.B.1.a

It is the intent and objective of this section that when volume permits and arbitration dates are available, cases should be scheduled and heard within 120 days, unless the parties otherwise agree. To clarify the intent of this section, the parties mutually agreed to a "Letter of Intent" located on page 46.

Section 5.B.5. District Level Arbitration - Regular *See pg. 33*

Under the new provisions of Article 15.5.B.5 if either party believes that a Regular arbitration case involves an interpretive dispute, it must refer the dispute to the party's national representative to determine whether the dispute is interpretive. If the case is already scheduled to be heard in arbitration, either party can withdraw the case from arbitration and the dispute is referred to the party's national representative at the Headquarters level to determine whether the dispute is interpretive (also see Step 4 Procedures - MOU on page 48). The case is then held at the area/regional level pending the outcome of the national interpretive dispute.

If a dispute is initiated and the parties at the national level determine the case does not involve an interpretive issue, the case if already scheduled will be heard before the same arbitrator. And, if the hearing had convened, the case will continue at the same stage of arbitration.

MOU - Article 15.5.B.5

In the past, there have been complaints by the parties of a lack of written notification or confirmation that a case withdrawn from regular arbitration was actually referred to Step 4, and the difficulty of tracking grievances where there's no record of notification. To eliminate this problem, the parties agreed to a MOU (page 49) regarding this section to (1) ensure that when a case is referred to the parties at the national level, that there is a record of notification, (2) that in the event no dispute is initiated, the case will be heard before the same arbitrator and at the same stage of arbitration within a timely fashion, and (3) if not scheduled for arbitration, the case will be placed back of the appropriate arbitration docket. The MOU provides the following:

- the party who refers a dispute to their national representative for determination whether an issue is interpretive must provide written notification on a jointly developed form to the other party,

- the party's national representatives will have thirty (30) days from receipt of notification to make a determination whether to initiate a dispute,

- if a dispute is initiated, the party initiating the dispute will provide a copy of the written notice to their Step 3 representative, and

- in the event no dispute is initiated within 30 days, the case was scheduled to be heard in arbitration or was being heard in arbitration, the case will be processed in accordance with the provisions of Article 15.5.B.5 and the MOU on Step 4 procedures within 45 days. In other words, if the case was scheduled to be heard or was being heard in arbitration at the time of referral, the case must be re-scheduled within 45 days from the expiration of the 30-day period, and

- if the case had not yet been scheduled for arbitration, the case must be placed back on the appropriate arbitration docket to be scheduled in the order appealed, unless the parties agree otherwise.

When Written Notification is Necessary

Once a case has been appealed to Regular arbitration, if either party believes that the case involves an interpretive issue, in order to have the case withdrawn from regular arbitration and referred to the national level, written notification must be given to the other party. Nothing in the Agreement prohibits either party at the regional level from seeking an interpretive review regarding a case appealed to regular arbitration from their national representative, at any time. However, written notification is required to be given to the other party before a case can be removed from regular arbitration. In the absence of written notification being provided to the other party, the case remains on the regular arbitration docket, to be scheduled and heard in regular arbitration.

It should be noted that either party can refer a case to their national representative and have cases removed from regular arbitration pursuant to the contract, provided written notification is given to the other party before the issuance of an arbitrator's decision. However, during an arbitration hearing if either party believes that the case involves an interpretive issue and seeks to delay the arbitration proceeding by having the case withdrawn and referred to the national level – written notification must be given to the other party at the hearing. In the absence of written notification, the arbitration hearing continues.

Regional Referral to the National Level

Please note, that if either party provides written notification to the other party at the regional level that they believe a case referred to regular arbitration involves an interpretive issue and is forwarding the issue to their national representative, the case is held pending the outcome at the national level. **A copy of the grievance papers should be forwarded to the national union, including a copy of the written notification.** If a dispute is initiated at the national level, the respective National Business Agent will be notified. If you do not receive any notice informing you that a dispute was initiated at the national level the case should be processed pursuant to the above-referenced MOU.

APWU Internal "Request for Interpretive Review" Process

Please note that the APWU will continue to use our internal "interpretive review process"when National Business Agents believe that a case referred to regular arbitration involves an interpretive issue. However, in the event that a National Business Agent or national arbitration advocate refers and withdraws a case scheduled for arbitration or during an arbitration hearing – a copy of the grievance papers, including the written notification that was provided to the Postal Service and a completed copy of the "Request for Interpretive Review" should be sent to Industrial Relations.

ARTICLE 16
DISCIPLINE PROCEDURE

This portion of the CBR only lists, addresses and explains the section in Article 16 where there was new language negotiated in the 1998-2000 National Agreement.

Section 4. Suspensions of 14 Days or Less

The new provisions in Article 16.4 require the Postal Service to delay discipline for suspensions of 14 days or less when a timely grievance is initiated. In this case, management must delay the effective date of a suspension until the grievance runs its course and is either settled or resolved by an arbitrator's final and binding decision.

For example, if an employee's grievance is sustained, he or she would not have to serve the suspension, and the suspension and references to the issuance of the suspension would be removed from the employee's record. On the other hand, if an employee loses his or her case, he or she would have to serve the time (off the clock) for the suspension, and the suspension would remain on the employee's record subject to the provisions of Article 16.10. Please be advised that this is not considered paper discipline or no-time off discipline, where an employee does not serve any time off the clock even if the employee loses his or her case in arbitration. **Suspensions of 14 days or less issued prior to July 12, 1999, are not covered by the new provisions.**

Article 16.4 - MOU

Section 4 provides that when an employee is issued a suspension, the suspension notice will inform the employee that he or she will be suspended after ten (10) calendar days during which ten-day period the employee will remain on the job or on the clock (in pay status) at the option of the Employer. However, since suspensions will be delayed pending the outcome of a timely filed grievance, suspensions will not include the 10-day advance notice of the effective date of the suspension. The parties reached an agreement (see MOU on page 47) concerning circumstances where the employee must serve the suspension. The MOU provides the following:

- If no grievance is filed, the employee will be informed that he/she will be suspended after ten (10) calendar days from expiration of the Step 1 time limits.

- If there is a grievance settlement or an arbitration decision that calls for the employee to serve all or part of the suspension, the employee will be informed that he/she will be suspended after ten (10) calendar days from date of the settlement or decision unless the parties otherwise agree.

- If grieved and the union does not appeal to the next step of the grievance-arbitration procedure, the employee will be informed that he/she will be suspended after ten (10) calendar days from the expiration of the relevant time limit for appeal.

It should be noted that a resolution, passed by the membership at the 1998 National Convention, mandated that the national union attempt to negotiate provisions during contract negotiations that delay the serving of discipline until the final outcome of the grievance.

PURGE OF WARNING LETTERS - MOU

The union was successful in negotiating a one-time purge of Letters of Warning from the records of all employees represented by the APWU (see page 52). However, to qualify a Letter of Warning must meet the following conditions:

- The Letter of Warning has to have been issued prior to the effective date of the 1998-2000 National Agreement. The effective date of the contract was January 12, 1999, the date the contract was officially ratified, and signed by the parties. See related correspondence on pages 53-55.

- The Letter of Warning had to have been in effect for at least 6 months and has not been cited as an element of prior discipline in any subsequent disciplinary action. In other words, the Letter of Warning had to have been in effect at least 6 months (July 12, 1998) prior to January 12, 1999, the effective date of the contract.

- The Letter of Warning was not issued in lieu of a suspension or a removal action.

- All grievances associated with letters of warning that are purged as a result of this agreement would be withdrawn.

The withdrawal of grievances associated with letters of warning, **only** refer to the withdrawal of those grievances filed on behalf of employees protesting the issuance of a Letter of Warning and where such letters of warning are rescinded and removed from the employee record pursuant to this MOU.

Transitional Employees (TEs) - Just Cause

Under the previous 1994 contract, Transitional Employees (TEs), who were disciplined or removed within their term of appointment were not covered by the "progressive discipline" just cause standards.

The contract provided that discipline was subject to just cause. However, the last sentence of the just cause provision in Section 10.c (3rd paragraph) in "Appendix A - APWU Transitional Employee Memoranda" stated that "In any such grievance, while the concept of progressive discipline will not ordinarily apply, the appropriateness of the discipline may be considered." Section 7 read as follows:

> Transitional employees may be disciplined or removed within the term of their appointment for just cause and any such discipline or removal will be subject to the grievance-arbitration procedure, provided that within the immediately preceding six months, the employee has completed ninety (90) work days, or has been employed for 120 calendar days, whichever comes first. **In any such grievance, while the concept of progressive discipline will not ordinarily apply, the appropriateness of the discipline may be considered.**

New Language

The APWU was successful in negotiating "progressive discipline" just cause rights for Transitional Employees. Accordingly, the parties agreed to eliminate the last sentence in the above-referenced Section 10.c (3rd paragraph) of "Appendix A - APWU Transitional Employee Memoranda". (See page 57)

Please note that the same last sentence was also deleted from the identical paragraph which can be found in Section 7 of Appendix B - APWU Transitional Employee Arbitration Award (See page 70).

DISCIPLINE TASK FORCE - MOU

In view of the new changes in Articles 15 and 16, the parties decided to re-establish the Discipline Task Force (see page 56). The Task Force consists of two (2) representatives from each party. Its purpose is to study:

- the way discipline is administered,
- how discipline disputes are handled by the parties, and
- to recommend changes and improvements in discipline and dispute resolution systems.

The Task Force is also authorized to conduct tests of alternative discipline and dispute resolution systems in various facilities, as well as intervene at local installations where there is agreement between the parties that problems on discipline warrant some type of action.

In addition, the Task Force is authorized to approve requests by local parties to implement modified grievance/arbitration procedures as well as alternative discipline systems.

Article 15.2(d)

ARTICLE 15
GRIEVANCE-ARBITRATION PROCEDURE

Section 1. Definition

A grievance is defined as a dispute, difference, disagreement or complaint between the parties related to wages, hours, and conditions of employment. A grievance shall include, but is not limited to, the complaint of an employee or of the Union which involves the interpretation, application of, or compliance with the provisions of this Agreement or any local Memorandum of Understanding not in conflict with this Agreement.

Section 2. Grievance Procedure Steps

Step 1:

(a) Any employee who feels aggrieved must discuss the grievance with the employee's immediate supervisor within fourteen (14) days of the date on which the employee or the Union first learned or may reasonably have been expected to have learned of its cause. The employee, if he or she so desires, may be accompanied and represented by the employee's steward or a Union representative. The Union also may initiate a grievance at Step 1 within l4 days of the date the Union first became aware of (or reasonably should have become aware of) the facts giving rise to the grievance. In such case the participation of an individual grievant is not required. A Step 1 Union grievance may involve a complaint affecting more than one employee in the office. **When the Union files a class action grievance, Management will designate the appropriate employer representative responsible for handling such complaint.**

(b) In any such discussion the supervisor shall have authority to settle the grievance. The steward or other Union representative likewise shall have authority to settle or withdraw the grievance in whole or in part. No resolution reached as a result of such discussion shall be a precedent for any purpose.

(c) If no resolution is reached as a result of such discussion, the supervisor shall render a decision orally stating the reasons for the decision. The supervisor's decision should be stated during the discussion, if possible, but in no event shall it be given to the Union representative (or the grievant, if no Union representative was requested) later than five (5) days thereafter unless the parties agree to extend the five (5) day period. Within five (5) days after the supervisor's decision, the supervisor shall, at the request of the Union representative, initial the standard grievance form that is used at Step 2 confirming the date upon which the decision was rendered.

(d) The Union shall be entitled to appeal an adverse decision to Step 2 of the grievance procedure within ten (10) days after receipt of the supervisor's decision. Such appeal shall be made by completing a standard grievance form developed by agreement of the parties, which shall include appropriate space for at least the following:

1. Detailed statement of facts;

2. Contentions of the grievant;

3. Particular contractual provisions involved; and

4. Remedy sought.

Step 2:

(a) The standard grievance form appealing to Step 2 shall be filed with the installation head or designee. In any associate post office of twenty (20) or less employees, the Employer shall designate an official outside of the installation as the Step 2 official, and shall so notify the Union Step 1 representative.

(b) Any grievance initiated at Step 2, pursuant to Article 2 or 14 of this Agreement, must be filed within 14 days of the date on which the Union or the employee first learned or may reasonably have been expected to have learned of its cause.

(c) The installation head or designee will meet with the steward or a Union representative as expeditiously as possible, but no later than seven (7) days following receipt of the Step 2 appeal unless the parties agree upon a later date. In all grievances appealed from Step 1 or filed at Step 2, the grievant shall be represented in Step 2 for all purposes by a steward or a Union representative who shall have authority to settle or withdraw the grievance as a result of discussions or compromise in this Step. The installation head or designee in Step 2 also shall have authority to grant or settle the grievance in whole or in part.

(d) At the meeting the Union representative shall make a full and detailed statement of facts relied upon, contractual provisions involved, and remedy sought. The Union representative may also furnish written statements from witnesses or other individuals. The Employer representative shall also make a full and detailed statement of facts and contractual provisions relied upon. The parties' representatives shall cooperate fully in the effort to develop all necessary facts, including the exchange of copies of all relevant papers or documents in accordance with Article 31. The parties' representatives may mutually agree to jointly interview witnesses where desirable to assure full development of all facts and contentions. In addition, in cases involving discharge either party shall have the right to present no more than two witnesses. Such right shall not preclude the parties from jointly agreeing to interview additional witnesses as provided above.

(e) Any settlement or withdrawal of a grievance in Step 2 shall be in writing or shall be noted on the standard grievance form, but shall not be a precedent for any purpose, unless the parties specifically so agree or develop an agreement to dispose of future similar or related problems.

(f) Where agreement is not reached the Employer's decision shall be furnished to the Union representative in writing, within ten (10) days after the Step 2 meeting unless the parties agree to extend the ten (10) day period. The decision shall include a full statement of the Employer's understanding of (1) all relevant facts,

(2) the contractual provisions involved, and (3) the detailed reasons for denial of the grievance.

(g) If the Union representative believes that the facts or contentions set forth in the decision are incomplete or inaccurate, such representative should, within ten (10) days of receipt of the Step 2 decision, transmit to the Employer's representative a written statement setting forth corrections or additions deemed necessary by the Union. Any such statement must be included in the file as part of the grievance record in the case. The filing of such corrections or additions shall not affect the time limits for appeal to Step 3 **or arbitration.**

(h) The Union may appeal an adverse Step 2 decision to Step 3. Any such appeal must be made within fifteen (15) days after receipt of the Employer's decision unless the parties' representatives agree to extend the time for appeal. **However, the Union may appeal an adverse Step 2 decision directly to arbitration for disciplinary grievances or contract grievances which involve the interpretation, application of, or compliance with the provisions of any local Memorandum of Understanding not in conflict with this Agreement, and those issues the parties have agreed are appealed to Expedited Arbitration. These grievances will be appealed to the appropriate Grievance/Arbitration Processing Center within thirty (30) days after the receipt of the Employer's Step 2 decision.** Any appeal must include copies of (1) the standard grievance form, (2) the Employer's written Step 2 decision, and, if filed, (3) the Union corrections or additions to the Step 2 decision.

Step 3:

(a) Any appeal from an adverse decision in Step 2 shall be in writing to the appropriate management official at the Grievance/Arbitration Processing Center, with a copy to the Employer's Step 2 representative, and shall specify the reasons for the appeal.

(b) The grievant shall be represented at the Employer's Step 3 Level by a Union's Regional representative, or designee. The Step 3 meeting of the parties' representatives to discuss the grievance shall be held within fifteen (15) days after it has been appealed to Step 3. Each party's representative shall be responsible for making certain that all relevant facts and contentions have been developed and considered. The Union representative shall have authority to settle or withdraw the grievance in whole or in part. The Employer's representative likewise shall have authority to grant the grievance in whole or in part. In any case where the parties' representatives mutually conclude that relevant facts or contentions were not developed adequately in Step 2, they shall have authority to return the grievance to the Step 2 level for full development of all facts and further consideration at that level. In such event, the parties' representatives at Step 2 shall meet within seven (7) days after the grievance is returned to Step 2. Thereafter, the time limits and procedures applicable to Step 2 grievances shall apply.

(c) The Employer's written Step 3 decision on the grievance shall be provided to the Union's Step 3 representative within fifteen (15) days after the parties have met in Step 3, unless the parties agree to extend the fifteen (15) day period. Such decision shall state the reasons for the decision in detail and shall include a statement of any additional facts and contentions not previously set forth in the record of the grievance as appealed from Step 2. **If either party's** Step 3 representative believes that **an** interpretive issue under the National Agreement or some supplement thereto which may be of general application is involved in the case**, the issue will be discussed with the appropriate National Union/Management Representatives**

at the Head-quarters Level. If either party's National Representative determines the issue to be interpretive, a written notice will be sent to the other party specifying in detail the facts giving rise to the dispute, the precise interpretive issues to be decided and the initiating party's contention. The grievance(s) shall be held at the Area and/or District Level pending discussion at the national level or the outcome of a National Arbitration award.

(d) The Union may appeal an adverse decision directly to arbitration at the appropriate Grievance/Arbitration Processing Center within twenty-one (21) days after the receipt of the Employer's Step 3 decision in accordance with the procedure hereinafter set forth.

(**e**) Where grievances appealed to Step 3 involve the same, or substantially similar issues or facts, one such grievance to be selected by the Union representative shall be designated the "representative" grievance. If not resolved at Step 3, the "representative" grievance may be appealed to arbitration in accordance with the above **and placed at the head of the appropriate arbitration docket, or the issue will be referred to the parties' national representatives at the Headquarters level pursuant to (c) above.** All other grievances which have been mutually agreed to as involving the same, or substantially similar issues or facts as those involved in the "representative" grievance shall be held at Step 3 pending resolution of the "representative" grievance, provided they were timely filed at Step 1 and properly appealed to Steps 2 and 3 in accordance with the grievance procedure.

Following resolution of the "representative" grievance, the parties involved in that grievance shall meet at Step 3 to apply the resolution to the other pending grievances involving the same, or substantially similar issues or facts. Disputes over the applicability of the resolution of the "representative" grievance shall be resolved through the grievance-arbitration procedures contained in this Article; in the event it is decided that the resolution of the "representative" grievance is not applicable to a particular grievance, the merits of that grievance shall also be considered.

(**f**) In order to discourage the filing of multiple local grievances involving any new or changed District or Area-wide policy, instructions, or guidelines, the APWU Regional Coordinator or National Business Agent may file one grievance concerning such policy, instructions, or guidelines, directly at Step 3 of the grievance procedure. The grievance may be filed within fourteen (14) days of the date on which such union representative first learned or may reasonably have been expected to have learned of the implementation of such policy, instructions, or guidelines. Timely local grievances, which had already been filed concerning such policy, instructions, or guidelines, will be held at or returned to Step 2 of the grievance procedure, as applicable, pending the resolution of the grievance filed directly at Step 3. Thereafter, local grievances will be finally adjudicated in accordance with the resolution of the grievance filed directly at Step 3. **If not resolved, the grievance filed directly at Step 3 may be appealed to arbitration within twenty-one (21) days and placed at the head of the appropriate arbitration docket.**

Step 4:

(a) In any **dispute properly initiated at** this Step **by the appropriate National Union/Management Representative,** the parties shall meet at the National level promptly, but in no event later than thirty (30)

days after **initiating** such **dispute** in an **effort** to **define** the **precise issues involved, develop all necessary facts and reach agreement.** The Union representative shall have authority to settle or withdraw the **dispute** in whole or in part. The Employer's representative shall have authority to grant or settle the **dispute** in whole or in part. The parties' Step 4 representatives may, by mutual agreement, return any **dispute** to Step 3 where (a) the parties agree that no national interpretive issue is fairly presented or (b) it appears that all relevant facts have not been developed adequately. In such event, the parties shall meet at Step 3 within fifteen (15) days after the **dispute** is returned to Step 3. Thereafter the procedures and time limits applicable to Step 3 grievances shall apply. **Should the parties at the National level fail to reach agreement, then within fifteen (15) days of such meeting each party shall provide the other with a statement in writing of its understanding of the issues involved, and the facts giving rise to the interpretive dispute. In the event the parties have failed to reach agreement within sixty (60) days of the initiation of the dispute, the Union then may appeal it to national arbitration within thirty (30) days thereafter. Any local grievances filed on the specific interpretive issue shall be held in abeyance at the appropriate level pending resolution of the national interpretive dispute.**

[see Memo, page 332]

Section 3. Mediation

Where the local parties identify the need for either assistance in the grievance/arbitration procedure or the need to improve the labor/management relationship, the following mediation process may be invoked:

A. The local installation head and the local Union president (local parties) may jointly initiate a request for mediation where they identify such a need in a particular installation. Such joint request must be in writing and submitted to the parties' designated Area/Regional level representatives.

B. Such Area/Regional level representatives may also recommend mediation for a particular installation. However, when a recommendation for mediation is made by the Area/Regional level representatives, such recommendation must be discussed with and agreed to by the local parties before the mediation process can be invoked at the local site.

C. The mediation will be conducted jointly by the Union official designated by the President of the Union and management official designated by the Vice President/Labor Relations (USPS). The designated officials will have been trained, and/or certified in the dispute resolution process. Such designated union/management mediation representatives will be utilized to assist the local parties in an effort to resolve timely grievances, as defined in Article 15, Sections 1 and 2, as well as any identified local issues or problems.

D. The designated union/management mediation representatives will meet at the local installation within thirty (30) days of the joint mediation request, which is described in Section 3.A or B above. At least seven (7) days prior to the on-site meeting, the local parties will jointly provide the mediation representatives with an agenda and all available relevant information. In the event the local parties cannot agree on an agenda for mediation, each party will submit their respective agendas to the mediation representatives seven (7) days prior to the on-site meeting, as well as all available relevant information.

E. The mediation will be held with the local parties to explore ways of resolving the previously submitted agenda items, as well as to seek ways of improving the labor/management climate within the installation. The mediation process, including all meetings connected with mediation, is considered to be off-the-record. However, all resolutions will be on the record, in writing and jointly signed by the local parties. Where the local parties agree, a particular mediation resolution(s) will serve as precedent for that installation, provided such resolution does not violate the National Agreement.

If the local parties are unable to reach a resolution on pending grievances of those local issues for which they have jointly requested mediation, then the mediation representatives may jointly resolve any of the above referenced issues or grievances.

F. The Employer's mediation representative will provide to the appropriate Union official a statement of position for each grievance(s) listed on the agenda, which is not resolved through mediation, within fifteen (15) days of the final mediation meeting. Within twenty-one (21) days of receipt of the statement of position, the Union may appeal such grievance(s) to **District** level arbitration.

Section 4. Grievance Procedure - General

A. The parties expect that good faith observance, by their respective representatives, of the principles and procedures set forth above will result in settlement or withdrawal of substantially all grievances initiated hereunder at the lowest possible step and recognize their obligation to achieve that end.

B. The failure of the employee or the Union in Step 1, or the Union thereafter to meet the prescribed time limits of the Steps of this procedure, including arbitration, shall be considered as a waiver of the grievance. However, if the Employer fails to raise the issue of timeliness at Step 2, or at the step at which the employee or Union failed to meet the prescribed time limits, whichever is later, such objection to the processing of the grievance is waived.

C. Failure by the Employer to schedule a meeting or render a decision in any of the Steps of this procedure within the time herein provided (including mutually agreed to extension periods) shall be deemed to move the grievance to the next Step of the grievance-arbitration procedure.

D. It is agreed that in the event of a dispute between the Union and the Employer as to the interpretation of this Agreement, such dispute may be initiated at the Step 4 level by **either party**. Such a **dispute** shall be initiated in writing and must specify in detail the facts giving rise to the dispute, the precise interpretive issues to be decided and the contention of **either party**. Thereafter the parties shall meet in Step 4 within thirty (30) days in an effort to define the precise issues involved, develop all necessary facts, and reach agreement. Should they fail to agree, then, within fifteen (15) days of such meeting, each party shall provide the other with a statement in writing of its understanding of the issues involved, and the facts giving rise to such issues. In the event the parties have failed to reach agreement within sixty (60) days of the initiation of the **dispute** in Step 4, the Union then may appeal it to arbitration, within thirty (30) days thereafter. **Any local grievances filed on the specific interpretive issue shall be held in abeyance at the appropriate level pending resolution of the national interpretive dispute.**

Section 5. Arbitration

A. General Provisions

1. A request for arbitration shall be submitted within the specified time limit for appeal.

2. No grievance may be arbitrated at the National level except when timely notice of appeal is given the Employer in writing by the National President of the Union. No grievance may be appealed to arbitration at the **District panel** level except when timely notice of appeal is given in writing to the appropriate management official at the Grievance/Arbitration Processing Center by the certified representative of the Union in the Area. Such representative shall be certified to appeal grievances by the National President of the Union to the Employer at the National level.

3. All grievances appealed to arbitration will be placed on the appropriate pending arbitration list in the order in which appealed. The Employer, in consultation with the Union, will be responsible for maintaining appropriate dockets of grievances, as appealed, and for administrative functions necessary to assure efficient scheduling and hearing of cases by arbitrators at all levels.

4. In order to avoid loss of available hearing time, except in National level cases, a minimum of six (6) expedited or three (3) regular cases, when available, are to be scheduled for each hearing date. **In addition, pending cases on the docket in the order in which appealed should be assigned to the designated advocates no less than sixty (60) days prior to the scheduled date and, if possible, the parties will discuss the cases no less than thirty (30) days prior to the scheduled date. The parties agree that back-up cases will include all cases pending arbitration at the location. These back-up cases will be scheduled in the order they appear on the District docket when** available in the event of late settlement or withdrawal of grievances before the hearing. In the event that either party withdraws all cases less than five (5) days prior to the scheduled arbitration date, and the parties are unable to agree on scheduling other cases on that date, the party withdrawing the cases shall pay the full costs of the arbitrator for that date. In the event that the parties settle and/or withdraw all cases five (5) or more days prior to the scheduled arbitration date, back-up cases on the appropriate arbitration list shall be scheduled. If the parties settle cases less than five (5) days prior to the scheduled arbitration date and are unable to agree to schedule another case, the parties shall share the costs of the arbitrator for that date. This paragraph shall not apply to National level arbitration cases.

5. Arbitration hearings normally will be held during working hours where practical. Employees whose attendance as witnesses is required at hearings during their regular working hours shall be on Employer time when appearing at the hearing, provided the time spent as a witness is part of the employee's regular working hours. Absent a more

permissive local past practice and at no cost to the Employer, the Employer will permit one (1) change of work schedule per case scheduled for arbitration for either the grievant or a witness, provided notice is given to his or her immediate supervisor at least two (2) days prior to the scheduled arbitration hearing.

6. All decisions of an arbitrator will be final and binding. All decisions of arbitrators shall be limited to the terms and provisions of this Agreement, and in no event may the terms and provisions of this Agreement be altered, amended, or modified by an arbitrator. Unless otherwise provided in this Article, all costs, fees, and expenses charged by an arbitrator will be shared equally by the parties.

7. All arbitrators on the Regular **District** Panels and the Expedited Panels and on the National Panel shall serve for the term of this Agreement and shall continue to serve for six (6) months thereafter, unless the parties otherwise mutually agree.

8. Arbitrators on the **N**ational **Panel** and on the Regular and Expedited **District** Panels shall be selected by the method agreed upon by the parties at the National Level.

9. In any arbitration proceeding in which a Union feels that its interests may be affected, it shall be entitled to intervene and participate in such arbitration proceeding, but it shall be required to share the cost of such arbitration equally with any or all other Union parties to such proceeding. Any dispute as to arbitrability may be submitted to the arbitrator and be determined by such arbitrator. The arbitrator's determination shall be final and binding.

B. **District Level Arbitration - Regular**

1. At the appropriate Grievance/Arbitration Processing Center **four (4)** separate lists of cases to be heard in arbitration shall be maintained for the Union: (a) one for all removal cases and cases involving suspensions for more than 14 days or **14 days or less referred from Expedited Arbitration,** (b) one for all cases referred to Expedited Arbitration, (c) one for **Contract disputes, and (d) one for Impasses from Local Negotiations** appealed to arbitration at the appropriate Grievance/Arbitration Processing Center. **In each District** separate panels will be established for scheduling and **hearing** cases involving **(a) removals** and suspensions for more than 14 days, **and suspensions of 14 days or less referred from Expedited Arbitration;** (b) Contract disputes, (c) cases referred to Expedited Arbitration, and **(d) Impasses from Local Negotiations.**

   a. Arbitration hearings are to be scheduled and heard within 120 days following receipt of the arbitration appeal, unless the parties agree upon a later date.

[see Memo, page 332]

2. Cases will be scheduled for arbitration in the order in which appealed, unless the Union and Employer otherwise agree.

3. Only discipline cases involving suspensions of 14 days or less and those other disputes as may be mutually determined by the parties shall be referred to Expedited Arbitration in accordance with Section C hereof.

[see Memo, page 325]

4. Cases referred to arbitration, which involve removals or suspensions for more than 14 days, shall be scheduled for hearing at the Grievance/Arbitration Processing Center at the earliest possible date in the order in which appealed by the Union.

5. If either party **believes** that a case referred to **Regular** Arbitration involves an interpretative issue under the National Agreement or some supplement thereto which may be of general application, that party**'s representative shall request input from their appropriate National Representative at the Headquarters level. If either party's representative at the Headquarters level determines the case is interpretive, a notice will be sent to the other party. The case will be held pending the outcome of the National interpretive dispute. If both parties' representatives determine the case does not involve an interpretive issue, the case if already scheduled for arbitration will be heard before the same arbitrator who was originally scheduled to hear the case. Further, if the hearing had convened, the case will continue at the same stage of arbitration.**

[see Memo, page 331]

6. The arbitrators on each Regular **District Panel** shall be scheduled to hear cases on a rotating system basis, unless otherwise agreed by the parties. The hearing time available for arbitration will be distributed among offices and crafts.

7. Normally, there will be no transcripts of arbitration hearings or filing of post-hearing briefs in cases heard in Regular **District** level arbitration, except either party at the National level may request a transcript. Either party at the hearing may request to file a post-hearing brief in contract arbitrations. In Regular **District** level discipline/discharge arbitrations, post-hearing briefs will be permitted only by mutual agreement of the parties or by direction of the arbitrator. However, each party may file a written statement setting forth its understanding of the facts and issues and its argument at the beginning of the hearing and also shall be given an adequate opportunity to present argument at the conclusion of the hearing.

8. The arbitrator in any given case should render an award therein within thirty (30) days of the close of the record in the case.

C. District Level Arbitration - Expedited

1. The parties agree to continue the utilization of an expedited arbitration system for disciplinary cases of 14 days suspension or less which do not involve interpretation of the Agreement and for such other cases as the parties may mutually determine.

[see Memo, page 325]

2. If either party concludes that the issues involved are of such complexity or significance as to warrant reference to the Regular **District** Arbitration Panel, that party shall notify the other party of such reference at least twenty-four (24) hours prior to the scheduled time for the expedited arbitration.

3. The hearing shall be conducted in accordance with the following:

   a. the hearing shall be informal;

   b. no briefs shall be filed or transcripts made;

   c. there shall be no formal rules of evidence;

   d. the hearing shall normally be completed within one day;

   e. if the arbitrator or the parties mutually conclude at the hearing that the issues involved are of such complexity or significance as to warrant reference to the Regular **District** Arbitration Panel, the case shall be referred to that panel; and

   f. the arbitrator may issue a bench decision at the hearing but in any event shall render a decision within forty-eight (48) hours after conclusion of the hearing. Such decision shall be based on the record before the arbitrator and may include a brief written explanation of the basis for such conclusion. These decisions will not be cited as a precedent. The arbitrator's decision shall be final and binding. An arbitrator who issues a bench decision shall furnish a written copy of the award to the parties within forty-eight (48) hours of the close of the hearing.

4. No decision by a member of the Expedited Panel in such a case shall be regarded as a precedent or be cited in any future proceeding, but otherwise will be a final and binding decision.

5. The Expedited Arbitration Panel shall be developed by the National parties, on a **District level**.

D. National Level Arbitration

1. Only cases involving interpretive issues under this Agreement or supplements thereto of general application will be arbitrated at the National level.

2. **A** docket of cases appealed to arbitration at the National level shall be maintained for the Union. The arbitrators on the National Panel shall be scheduled to hear cases on a rotating system basis, unless otherwise agreed by the parties. Cases on the docket will be scheduled for arbitration in the order in which appealed, unless the Union and Employer otherwise agree.

Section 6. Administration

The parties recognize their continuing joint responsibility for efficient functioning of the grievance procedure and effective use of arbitration. Commencing April 1, 1979, and quarterly thereafter, the Employer will furnish to the President of the Union a copy of a quarterly report containing the following information covering operation of the arbitration procedure at the National level, and for each Grievance/Arbitration Processing Center separately:

(a) number of cases appealed to arbitration;

(b) number of cases scheduled for hearing;

(c) number of cases heard;

(d) number of scheduled hearing dates, if any, which were not used;

(e) the total number of cases pending but not scheduled at the end of the quarter.

(The preceding Article, Article 15, shall apply to Transitional Employees)

[see Memo, page 332]

ARTICLE 16
DISCIPLINE PROCEDURE

Section 1. Principles

In the administration of this Article, a basic principle shall be that discipline should be corrective in nature, rather than punitive. No employee may be disciplined or discharged except for just cause such as, but not limited to, insubordination, pilferage, intoxication (drugs or alcohol), incompetence, failure to perform work as requested, violation of the terms of this Agreement, or failure to observe safety rules and regulations. Any such discipline or discharge shall be subject to the grievance-arbitration procedure provided for in this Agreement, which could result in reinstatement and restitution, including back pay.

Section 2. Discussion

For minor offenses by an employee, management has a responsibility to discuss such matters with the employee. Discussions of this type shall be held in private between the employee and the supervisor. Such discussions are not considered discipline and are not grievable. Following such discussions, there is no prohibition against the supervisor and/or the employee making a personal notation of the date and subject matter for their own personal record(s). However, no notation or other information pertaining to such discussion shall be included in the employee's personnel folder. While such discussions may not be cited as an element of prior adverse record in any subsequent disciplinary action against an employee, they may be, where relevant and timely, relied upon to establish that employees have been made aware of their obligations and responsibilities.

Section 3. Letter of Warning

A letter of warning is a disciplinary notice in writing, identified as an official disciplinary letter of warning, which shall include an explanation of a deficiency or misconduct to be corrected.

[see Memo, page 334]

Section 4. Suspensions of 14 Days or Less

In the case of discipline involving suspensions of fourteen (14) days or less, the employee against whom disciplinary action is sought to be initiated shall be served with a written notice of the charges against the employee and shall be further informed that he/she will be suspended after ten (10) calendar days during which ten-day period the employee shall remain on the job or on the clock (in pay status) at the option of the Employer. **However, if a timely grievance is initiated, the effective date of the suspension will be delayed until disposition of the grievance, either by settlement or an arbitrator's final and binding decision. The employee shall remain on the job or on the clock (in pay status) at the option of the Employer.**

Section 5. Suspensions of More Than 14 Days or Discharge

In the case of suspensions of more than fourteen (14) days, or of discharge, any employee shall, unless otherwise provided herein, be entitled to an advance written notice of the charges against him/her and shall remain either on the job or on the clock at the option of the Employer for a period of thirty (30) days. Thereafter, the employee shall remain on the rolls (non-pay status) until disposition of the case has been had either by settlement with the Union or through exhaustion of the grievance-arbitration procedure. A preference eligible who chooses to appeal a suspension of more than fourteen (14) days or his/her discharge to the Merit Systems Protection Board (MSPB) rather than through the grievance-arbitration procedure shall remain on the rolls (non-pay status) until disposition of the case has been had either by settlement or through exhaustion of his/her MSPB appeal. When there is reasonable cause to believe an employee is guilty of a crime for which a sentence of imprisonment can be imposed, the Employer is not required to give the employee the full thirty (30) days advance written notice in a discharge action, but shall give such lesser number of days advance written notice as under the circumstances is reasonable and can be justified. The employee is immediately removed from a pay status at the end of the notice period.

Section 6. Indefinite Suspension Crime Situation

A. The Employer may indefinitely suspend an employee in those cases where the Employer has reasonable cause to believe an employee is guilty of a crime for which a sentence of imprisonment can be imposed. In such cases, the Employer is not required to give the employee the full thirty (30) days advance notice of indefinite suspension, but shall give such lesser number of days of advance written notice as under the circumstances is reasonable and can be justified. The employee is immediately removed from a pay status at the end of the notice period.

B. The just cause of an indefinite suspension is grievable. The arbitrator shall have the authority to reinstate and make the employee whole for the entire period of the indefinite suspension.

C. If after further investigation or after resolution of the criminal charges against the employee, the Employer determines to return the employee to a pay status, the employee shall be entitled to back pay for the period that the indefinite suspension exceeded seventy (70) days, if the employee was otherwise available for duty, and without prejudice to any grievance filed under B. above.

D. The Employer may take action to discharge an employee during the period of an indefinite suspension whether or not the criminal charges have been resolved, and whether or not such charges have been resolved in favor of the employee. Such action must be for just cause, and is subject to the requirements of Section 5 of this Article.

Section 7. Emergency Procedure

An employee may be immediately placed on an off-duty status (without pay) by the Employer, but remain on the rolls where the allegation involves intoxication (use of drugs or alcohol), pilferage, or failure to observe safety rules and regulations, or in cases where retaining the employee on duty may result in damage

to U.S. Postal Service property, loss of mail or funds, or where the employee may be injurious to self or others. The employee shall remain on the rolls (non-pay status) until disposition of the case has been had. If it is proposed to suspend such an employee for more than thirty (30) days or discharge the employee, the emergency action taken under this Section may be made the subject of a separate grievance.

Section 8. Review of Discipline

In no case may a supervisor impose suspension or discharge upon an employee unless the proposed disciplinary action by the supervisor has first been reviewed and concurred in by the installation head or designee.

In associate post offices of twenty (20) or less employees, or where there is no higher level supervisor than the supervisor who proposes to initiate suspension or discharge, the proposed disciplinary action shall first be reviewed and concurred in by a higher authority outside such installation or post office before any proposed disciplinary action is taken.

Section 9. Veterans' Preference

A. A preference eligible is not hereunder deprived of whatever rights of appeal such employee may have under the Veterans' Preference Act; however, if the employee appeals under the Veterans' Preference Act, the employee will be deemed to have waived further access to the grievance-arbitration procedure beyond step 3 under any of the following circumstances:

1. If an MSPB settlement agreement is reached.

2. If the MSPB has not yet issued a decision on the merits, but a hearing on the merits before the MSPB has begun.

3. If the MSPB issues a decision on the merits of the appeal.

B. In the event the grievance of a preference eligible is due to be scheduled in accordance with Article 15, section 5, and the preference eligible has a live MSPB appeal on the same action, the parties will not schedule the grievance for arbitration until a final determination is reached in the MSPB procedure. If the grievance is not waived under Section 9.A 1, 2 or 3 above, the case will be scheduled promptly for arbitration. Should the grievance ultimately be sustained or modified in arbitration, the preference eligible employee will have no entitlement to back pay under the National Agreement for the period from the date the case would have been scheduled for arbitration and the date it is actually scheduled for arbitration.

Section 10. Employee Discipline Records

The records of a disciplinary action against an employee shall not be considered in any subsequent disciplinary action if there has been no disciplinary action initiated against the employee for a period of two years.

Upon the employee's written request, any disciplinary notice or decision letter will be removed from the employee's official personnel folder after two years if there has been no disciplinary action initiated against the employee in that two-year period.

(Additional provisions regarding the discipline or removal of Transitional Employees can be found in Appendix A)

MEMORANDUMS/LETTERS OF INTENT

The following are MEMORANDUMS AND LETTERS OF INTENT found in this section:

Letter of Intent - Article 16.7 Emergency Procedure

MOU - Expedited Arbitration Issues

MOU - Timeliness regarding Step 2(h) Appeals

Letter of Intent - Article 15.2 Step 2(h) Appeals MOU

MOU - Article 15.2 Step 3 (c)

Letter of Intent - Article 15.5.B.1.a

MOU - Article 16.4

MOU - Step 4 Procedures

MOU - Article 15.5.B.5

MOU - Grievance/Arbitration Appeals

MOU - Implementation Articles 15 and 16, 1998 Agreement

Purge of Warning Letters - MOU

Implementation of Purged Letters/Correspondence

Discipline Task Force - MOU

Appendix A, APWU Transitional Employee Memo

Transitional Employees - MOU

LABOR RELATIONS

UNITED STATES POSTAL SERVICE

Mr. Greg Bell
Director, Industrial Relations
American Postal Workers Union, AFL-CIO
1300 L Street, NW
Washington, DC 20005

SUBJECT: Emergency Procedure – Article 16, Section 7

Dear Greg:

This letter confirms our mutual understanding regarding the above-referenced subject discussed with Doug Tulino on May 25, 1999.

We agree that when an employee is placed on an off-duty status pursuant to Article 16, Section 7, the union may appeal a timely grievance denied at Step 2 directly to arbitration in accordance with Article 15.2, Step 2 (h). This includes disciplinary as well as non-disciplinary actions taken under the provisions of Article 16.7.

Further, we agree that when these issues are appealed to arbitration, we will continue to certify them to be heard in arbitration on the regular arbitration panels.

Peter A. Sgro
Acting Manager
Contract Administration
(APWU/NPMHU)

Date: 5/25/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union,
AFL-CIO

Date: 5/26/99

475 L'Enfant Plaza SW
Washington DC 20260-4101

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION,
AFL-CIO

Re: Expedited Arbitration

The United States Postal Service and the American Postal Workers Union, AFL-CIO, agree to hear the following issues in the Expedited Arbitration forum:

1. Individual Overtime Issues
2. Withholding of Step Increases
3. Individual Leave Requests Concerning Annual Leave, Sick Leave, Leave Without Pay, Court Leave, Restricted Sick Leave, and Requests for Medical Certification
4. AWOL
5. Individual Holiday Scheduling Issues
6. Suspensions (Except Emergency Suspensions)
7. Article 25, Higher Level Assignments
8. Employee Claims
9. Letters of Demand of Less Than $2,000
10. Individual Clerk Craft Seniority Disputes
11. Such Other Matters as are Mutually Agreeable at the Area/Regional Level

This agreement does not change either party's right to refer an expedited case to regular arbitration in accordance with the applicable procedures of Article 15, Section 5.C., of the National Agreement.

The parties at the National level will continue to attempt to identify and agree upon additional issues to be referred to Expedited Arbitration at the Area/Regional level in accordance with Section 5.C. of Article 15 of the National Agreement.

This memorandum is found on page 333 of the 1998 National Agreement.

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

Re: Timeliness Regarding Step 2(h) Appeals

When the Union incorrectly appeals a grievance under Article 15.2 Step 2(h) to Step 3 rather than to arbitration, and can show the appeal was made timely, Management will not consider timeliness as a waiver of the grievance. If no timely appeal to Step 3 can be established by the Union then Management retains the right to raise the timeliness issue.

This memorandum is found on page 332 of the 1998 National Agreement.

UNITED STATES POSTAL SERVICE

Mr. Greg Bell
Director, Industrial Relations
American Postal Workers Union, AFL-CIO
1300 L Street, NW
Washington, DC 20005

SUBJECT: MOU - Timeliness Regarding Step 2(h) Appeals

Dear Greg:

This letter confirms our mutual understanding of the issue discussed with Doug Tulino on March 10, 1999 regarding the intent of the above-referenced Memorandum of Understanding. This memorandum includes the scenario where the union incorrectly appeals a grievance under Article 15.2 Step 2(h) directly to arbitration that should have been appealed to Step 3. The grievance will not be waived as untimely provided the union can show a timely appeal to arbitration. If no timely appeal can be established by the union, then management retains the right to raise the timeliness issue.

Peter A. Sgro
Acting Manager
Contract Administration
(APWU/NPMHU)

Date: 3/19/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union,
AFL-CIO

Date: 3/17/99

475 L'Enfant Plaza SW
Washington DC 20260-4100

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

It is hereby agreed by the United States Postal Service and the American Postal Workers Union, AFL-CIO, that the following procedures will apply pursuant to Article 15.2, Step 3 (c), of the 1998 national agreement.

1. When either party's Step 3 representative invokes the provisions of Article 15.2, Step 3 (c), they must provide written notification to the other party that the issue in question is being forwarded to their national representative for determination as to whether or not an interpretive issue exists. This notification will be provided on a jointly developed form to be issued to all Step 3 representatives.

2. Once an issue is forwarded to the national level pursuant to Article 15.2, Step 3(c), the appropriate national representative will have thirty (30) days from receipt of notification to make a determination as to whether or not to initiate a national level dispute.

3. When a national representative determines that an issue is interpretive and initiates a dispute, the party initiating the dispute will provide a copy of the written notice to their Step 3 representative. In the event a dispute is not initiated within 30 days by a national representative, the parties at Step 3 will meet no later than fifteen (15) days from the expiration of the 30-day period. Thereafter, the procedures and time limits applicable to Step 3 grievances will apply.

4. This memorandum reflects the parties' desire to adjudicate grievances as expeditiously as possible and to eliminate the need to file a grievance to remedy the terms of these provisions. Therefore, when either party establishes that a grievance has not been processed in accordance with this memorandum, it is agreed that these provisions will immediately be invoked and the grievance processed accordingly.

Peter A. Sgro
Acting Manager
Contract Administration (APWU/NPMHU)
United States Postal Service

Date: 5/26/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union
AFL-CIO

Date: 5/26/99

LABOR RELATIONS

UNITED STATES POSTAL SERVICE

Mr. Greg Bell
Director, Industrial Relations
American Postal Workers Union, AFL-CIO
1300 L Street, NW
Washington, DC 20005

SUBJECT: Article 15.5.B.1.a

Dear Greg:

This letter confirms our mutual understanding of the issue discussed with Doug Tulino on March 10, 1999 regarding the intent of the above-referenced section of Article 15. We agree that the objective of the language is to schedule and hear arbitration cases, when volume permits and arbitration dates are available, within 120 days following receipt of an arbitration appeal, unless the parties agree upon a later date.

Peter A. Sgro
Acting Manager
Contract Administration
(APWU/NPMHU)

Date: 3/9/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union,
AFL-CIO

Date: 3/11/99

475 L'Enfant Plaza SW
Washington DC 20260-4100

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

The parties agree that the effective date for implementing the new language in Article 16, Section 4 of the 1998 National Agreement will be July 12, 1999. Suspensions of fourteen (14) days or less issued prior to July 12, 1999 are subject to, and will be administratively handled in accordance with the terms of Article 16 of the 1994 National Agreement. Any suspension issued on or after July 12, 1999 is subject to and will be administratively handled in accordance with the terms of Article 16 of the 1998 National Agreement.

The following applies to a suspension issued on or after July 12 1999 in circumstances where the employee is to serve the suspension (in whole or in part):

- When a suspension is issued and no timely grievance is filed at Step 1, the employee will be informed that he/she will be suspended after ten (10) calendar days from expiration of the Step 1 time limits.

- When a suspension is issued and the parties agree to a grievance resolution that calls for the employee to serve all or part of the suspension, the employee will be informed that he/she will be suspended after ten (10) calendar days from the date of the settlement, unless the parties otherwise agree.

- When a suspension is issued, grieved without resolution, and the union does not appeal to the next level of the grievance-arbitration procedure, the employee will be informed that he/she will be suspended after ten (10) calendar days from the expiration of the relevant time limit for appeal.

- When a suspension is issued and upheld by an arbitrator (in whole or in part), the employee will be informed that he/she will be suspended after ten (10) calendar days from the date the local parties receive the arbitration award.

The above applies solely to suspensions issued under Article 16, Section 4.

Doug A. Tulino
Manager
Labor Relations Policies and Programs

Date: 6/10/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union,
AFL-CIO

Date: 6/10/99

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION,
AFL-CIO

Re: Step 4 Procedures

This memorandum represents the parties' agreement with regard to withdrawing a grievance from regional arbitration and referring **the dispute** to Step 4 of the grievance procedure.

If a case is withdrawn from regional arbitration, **and the dispute** referred to Step 4, and then remanded as non-interpretive, it will be returned directly to regional arbitration to be heard before the same arbitrator who was scheduled to hear the case at the time of the referral to Step 4. Additionally, if the hearing had opened, the case will be returned to the same stage of arbitration.

The party referring the **dispute** to Step 4 from arbitration on the day of the hearing or after the hearing opens shall pay the full costs of the arbitrator for that date unless another scheduled case is heard on that date by the arbitrator.

This memorandum is found on page 331 of the 1998 National Agreement.

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

It is hereby agreed by the United States Postal Service and the American Postal Workers Union, AFL-CIO, that the following procedures will apply pursuant to Article 15.5.B.5 of the 1998 national agreement.

1. The party who initiates this provision will provide written notification to the other party that the issue in question is being forwarded to their national representative for determination as to whether or not an interpretive issue exists. This notification will be provided on a jointly developed form to be issued to all representatives who serve as advocates.

2. Once an issue is forwarded to the national level pursuant to Article 15.5.B.5, the appropriate national representative will have thirty (30) days from receipt of notification to make a determination as to whether or not to initiate a national level dispute.

3. When a national representative determines that an issue is interpretive and initiates a dispute, the initiating party will provide a copy of the written notice to their respective advocate. In the event that a dispute is not initiated by a national representative and the case was scheduled to be heard in arbitration at the time of referral, or was being heard in arbitration, the case will be processed in accordance with the provisions of Article 15.5.B.5 and the MOU on Step 4 procedures (page 331) within 45 days from receipt of the written notification provided in paragraph 1 above. If the case had not yet been scheduled for arbitration, it will be placed back on the appropriate arbitration docket to be scheduled in the order originally appealed, unless the parties agree otherwise.

4. This memorandum reflects the parties' desire to adjudicate cases as expeditiously as possible and to eliminate the need to file a grievance to remedy the terms of these provisions. Therefore, when either party establishes that a case has not been processed in accordance with this memorandum, it is agreed that these provisions will immediately be invoked and the case processed accordingly.

Peter A. Sgro
Acting Manager
Contract Administration (APWU/NPMHU)
United States Postal Service

Date: 5/24/99

Greg Bell
Director, Industrial Relations
American Postal Workers Union
AFL-CIO

Date: 5/26/99

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

Re: Grievance/Arbitration Appeals

Arbitration panels will be established by **District**, so each **District** will have its own panels. Grievance and arbitration appeals to the former Regional level will be made to the five grievance/arbitration processing centers located at the five Area offices previously identified as Regional Offices. Cases will be scheduled for arbitration by the parties in those offices.

This Memorandum is intended to continue the practices by which the above-referenced activities are currently being handled by the parties and is not intended to modify those practices.

Date: March 30, 1995

This memorandum is found on page 332 of the 1998 National Agreement.

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION,
AFL-CIO

Re: Implementation Articles 15 and 16, 1998 Agreement

In recognition of the significant modifications that the parties made to the grievance/arbitration procedure during 1998 negotiations, it is agreed that the changes to Articles 15 and Article 16 will not become effective until six months after the 1998 Agreement is ratified. During the interim time period between negotiations and implementation the parties will continue to utilize the contract language of Articles 15 and 16 as it is written in the 1994 Agreement. The parties also agree to use this interim time period to provide training to their respective representatives.

This memorandum is found on page 333 of the 1998 National Agreement.

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

Re: Purge of Warning Letters

The parties agree that there will be a one-time purge of Official Disciplinary Letters of Warning from the personnel folders of all employees represented by the American Postal Workers Union. To qualify to be purged, a Letter of Warning must meet the following conditions:

1. **An issue date prior to the effective date of the 1998 National Agreement between the parties.**

2. **The Letter of Warning has been in effect for 6 months and has not been cited as an element of prior discipline in any subsequent disciplinary action.**

3. **The Letter of Warning was not issued in lieu of a suspension or a removal action.**

4. **All grievances associated with discipline that is purged as a result of this Memorandum shall be withdrawn.**

Date: November 20, 1998

This memorandum is found on page 334 of the 1998 National Agreement.

American Postal Workers Union, AFL-CIO

1300 L Street, NW Washington, DC 20005

Certified No. 2818000434

February 26, 1999

Mr. Anthony J. Vegliante
Vice President Labor Relations
U.S. Postal Service
475 L'Enfant Plaza
Washington, D.C. 20260

Re: Implementation of the Purge of Warning Letters Memorandum

Dear Mr. Vegliante:

This letter will confirm my conversation with Doug Tulino of your staff on February 25, in regard to the above-referenced subject matter. In accordance with condition number 1 of the Purge of Warning Letters Memorandum, to qualify to be purged, a Letter of Warning must have an issue date prior to the effective date of the 1998 National Agreement. During our conversation, we agreed that for the application of the Purge of Warning Letters Memorandum, the effective date will be January 12, 1999, the signing date of the 1998 National Agreement.

It is requested that my office be provided a copy of any instructions to the field regarding the implementation of the Purge of Warning Letters Memorandum. Should there be any questions or if further discussion is needed, I can be contacted at (202) 842-4273.

Sincerely,

Greg Bell, Director
Industrial Relations

cc: Moe Biller
William Burrus

GB:jmg
opeiu#2
afl-cio

UNITED STATES POSTAL SERVICE

March 3, 1999

Mr. Greg Bell
Director, Industrial Relations
American Postal Workers Union, AFL-CIO
1300 L Street, NW
Washington, DC 20005

Dear Greg:

This is in response to your memo addressed to Anthony J. Vegliante, Vice President, Labor Relations, dated February 26, 1999.

As requested, I am attaching a copy of a letter forwarded to the field regarding implementation of the Purge Letter of Warning Memorandum.

If you have any further questions, please contact me at:

Sincerely,

Peter A. Sgro
Acting Manager
Contract Administration (APWU/NPMHU)

Enclosure

475 L'Enfant Plaza SW
Washington DC 20260-4100

UNITED STATES
POSTAL SERVICE

February 25, 1999

AREA MANAGERS, HUMAN RESOURCES

SUBJECT: Memorandum of Understanding (MOU) - Letter of Warning Purge

As you are aware, the subject MOU with the American Postal Workers Union provides for a one-time purge of all letters of warning (LOW) which meet the following criteria:

1. Contain an issue date prior to the effective date of the 1998 National Agreement; i.e., January 12, 1999;

2. Have been in effect for six months or longer and have not been cited as an element of prior discipline in any subsequent disciplinary action; and

3. Were not issued in lieu of a suspension or removal action.

The aforementioned one-time purge should be initiated immediately upon receipt of this letter. Please assure that all District offices promptly implement the terms of the MOU, with completion of the process as soon as possible.

Additionally, any grievances associated with discipline purged under this MOU are to be withdrawn by the union. Please assure that any failure to comply with this requirement at the local level is promptly communicated to your office for discussion with the union at the Area/Regional level.

If you have any questions, please contact Dan Magazu of my staff at (202) 268-3825.

Peter A. Sgro
Acting Manager
Contract Administration (APWU/NPMHU)

cc: Area Managers Labor Relations
District Managers, Human Resources

475 L'ENFANT PLAZA SW
WASHINGTON DC 20260-4100

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION,
AFL-CIO

Re: Discipline Task Force

The parties agree to have at the national level the "Task Force on Discipline." The Task Force shall have two representatives of the APWU and two representatives of the USPS.

The purpose of the Task Force shall be to study the manner in which discipline is administered by the USPS, the manner in which disputes about discipline are handled by the parties, and to recommend changes and improvements which can be made in the discipline and dispute resolution systems.

The Task Force is authorized, at its discretion, to conduct tests of alternative discipline and dispute resolution systems in various facilities, as well as intervene at Local Installations wherein the parties agree that problems on discipline warrant some type of action.

The Task Force is further authorized to review and approve requests made by local parties to implement modified grievance/arbitration procedures, as well as alternative discipline systems.

The Task Force shall convene periodically but at least quarterly, at such times and at such places as it deems appropriate during the term of the 1998 National Agreement. No action or recommendations may be taken by the Task Force except by a consensus of its parties. In addition, each Area shall develop and maintain a discipline Task Force to review and compile statistics on the implementation of discipline and determine if intervention at a local installation is warranted by the parties.

Nothing herein shall preclude any of the parties from exercising the rights which they may otherwise have.

This memorandum is found on page 335 of the 1998 National Agreement.

APPENDIX A
APWU Transitional Employee Memoranda

MEMORANDUM OF UNDERSTANDING
BETWEEN THE
UNITED STATES POSTAL SERVICE
AND THE
AMERICAN POSTAL WORKERS UNION, AFL-CIO

Re: Transitional Employee

1. The parties agree to the following principles:

   a. The transitional work force will be comprised of noncareer, bargaining unit employees.

   b. Transitional employees will be hired for a term not to exceed 360 calendar days and will have a break in service of at least 5 days between appointments.

   c. Transitional employees will be used to cover duty assignments held pending reversion due to automation and residual vacancies withheld pursuant to Article 12. The term "held pending reversion" is a vacant duty assignment which is due to be reverted. The term "residual vacancies" are those positions that remain vacant after the completion of the voluntary bidding process.

   d. Transitional employees may also be used to replace part-time attrition. The term "attrition" refers to the reduction in the career employee complement for any reason.

   e. The use of transitional employees will be phased out as the deployed automated equipment becomes operationally proficient. Transitional employees covering positions withheld for career employees will be retained until the reassigned employees, who require training, qualify for their new duty assignments. The phase-out period for the accomplishment of the above objectives (individually or in combination) may not exceed 90 days from the date of deployment.

   f. Transitional employees who are covering duty assignments held pending reversion or residual vacancies withheld pursuant to Article 12 will not be displaced from these assignments for the purpose of utilizing a casual employee.

   g. Leave provisions for transitional employees are included in Attachment A.

2. On a quarterly basis, the local union at the impacted office will be provided with an updated report which will provide the following (see Attachment B; Impacted Office Employee Status Report):

   a. The projected reduction for the transition period separated by category as follows: LDC 11, LDC 12 (letters), LDC 12 (Flats), LDC 13, and other clerical (except LDC 42).

b. A baseline number for each category and a quarterly update of each category for full-time positions and part-time positions.

c. A listing of transitional employees by name and the job number these employees are working on for positions withheld (see Attachment Bl; Positions Withheld).

d. A listing of transitional employees by name and the job number these employees are working on for positions held pending reversion (see Attachment B2; Positions Held Pending Reversion).

e. A listing of transitional employees by name and a listing of part-time employees who were replaced by name for part-time assignments (see Attachment B3; Part-Time Assignments).

f. Management will supply the local union, at the impacted site, with information regarding the equipment deployment schedule for the transition period. The deployment schedule will include specific information (i.e., types of equipment, date of deployment, deployment site). The equipment deployment schedule will be updated annually.

g. Management will supply the local union at the impacted site with information regarding the impact. This information will also include the time frames for these impacts. Any changes to this information by management requires a 14-day advance notice to the local union. As equipment is deployed and becomes fully operational, the number of transitional employees specific to that deployment will be removed from those assignments in accordance with l.e. above.

3. On a quarterly basis, management agrees to provide the following information at the regional level:

a. Management will supply the union with a projected regional reduction of employees for the transition period (see Attachment C; REGIONAL COMPLEMENT REDUCTION REPORT).

b. On a quarterly basis, management will supply the union with the projected reduction in each MSC, a listing of impacted offices, the actual attrition in the current quarter by impacted office, and a current listing of positions withheld by impacted office.

c. Management will total the information in Item number 2 and supply a regional summary.

4. Regional Determination--Number of Withheld Vacancies:

a. Within 7 days from the effective date of this agreement, the parties at the regional level will meet to determine the number of vacancies withheld during the previous 90-day period.

b. Solely for the purpose of applying this memorandum, withheld residual vacancies will be identified as those vacancies for which the union has received Article 12 notification at the regional level as being withheld for employees who may be involuntarily reassigned outside the installation. In order to be considered a with- held vacancy, the union, at the local level, had to be advised of the specific vacancy withheld by assignment number. This requirement had to be accomplished either by posted notice, letter to the local union, or verbally. Verbal notification can be considered only if the local union official agrees that such verbal notification occurred.

c. Once the withheld residual vacancies are identified, management may use transitional

employees to backfill withheld vacancies consistent with the provisions of this Memorandum of Understanding.

5. Career Employee Option for Vacant Duty Assignment:

a. Prior to assigning a transitional employee to an impacted vacancy (held pending reversion), full-time career employees who are potentially impacted, who are performing identical duties, and who possess the identical skills of the vacant duty assignment, may opt for the vacant assignment.

This option procedure will consist of a written preselection of hours and days off by potentially impacted employees. The option procedure will not exceed 7 calendar days, and employees who failed to submit their preselection choices will be bypassed.

b. Employees will have 21 days from the effective date of this memorandum to submit their preselection options. Employees who assume new positions on different tours or employees new to a facility will have the opportunity to submit their preselection options within 7 days of assuming their new position. Employees will also have an opportunity to change or modify their preselection options once every 6 months.

6. Assignment of Part-Time Flexible Employees to a Withheld Vacancy:

a. Prior to assigning transitional employees to withheld/ held pending reversion vacant positions, management will assign the senior qualified part-time flexible employee to cover the withheld/held pending reversion vacancy, and may backfill the part-time flexible employee's position with a transitional employee. The assignment of the part-time flexible employee to the withheld/held pending reversion vacancy does not change the work hours guarantees.

b. Part-time flexible employee hours worked in withheld/held pending reversion vacancies will not be considered when determining whether the criteria has been met for conversion to full-time pursuant to any maximization obligations the employer may have, or otherwise entitle the part-time flexible to any rights or benefits greater than other part-time flexible employees.

c. If the senior part-time flexible employee does not possess the required skills for the withheld/held pending reversion vacancy, the part-time flexible will be bypassed. If there are no qualified part-time flexible employees, management may use a transitional employee to backfill the withheld/held pending reversion vacancy.

7. Bidding Provisions--Full-time Distribution Clerk, Machine:

a. A full-time Distribution Clerk, Machine, who is restricted from bidding in accordance with Article 37.3.B will be allowed to bid and these restrictions will be waived provided:

(1) The employee is currently working in a position which is identified to be eliminated due to automation;

(2) The employee has completed a 90-day probationary period.

b. If a full-time Distribution Clerk, Machine, is restricted from bidding pursuant to Article 37.3.B, and is the successful bidder on a duty assignment pursuant to Subsections a(l) and (2) above,

the duty assignment will be held for the employee until his/her current position is eliminated or management may assign the employee to the duty assignment pursuant to the applicable craft articles of the National Agreement.

This duty assignment will be covered in the same manner as a withheld position.

c. An employee who is restricted from bidding pursuant to Article 37.3.B may bid and be deemed the successful bidder only once.

8. Reassignment of Career Employees Outside of a Section, Craft, or Installation:

a. Prior to reassigning career employees outside of a section, craft, or installation, management will offer impacted career employees, on a seniority basis, the opportunity to work any existing transitional assignment. Impacted career employees must be currently qualified to backfill these assignments.

b. There will be no out-of-schedule pay or training provided to qualify the impacted employees for these temporary assignments.

9. Layoff of Career Employees:

a. Prior to laying off career employees, management will offer the impacted employees the opportunity to work any existing transitional assignments within the installation. The impacted employee must be currently qualified to backfill these assignments.

b. There will be no out-of-schedule pay or training provided to qualify the impacted employees for these temporary assignments.

10. Article 15:

a. The parties recognize that transitional employees will have access to the grievance procedure for those provisions which the parties have agreed apply to transitional employees.

b. Nothing herein will be construed as a waiver of the employer's obligation under the National Labor Relations Act. Transitional employees will not be discharged for exercising their rights under the grievance- arbitration procedure.

c. The separation of transitional employees upon completion of their 360-day term and the decision to not reappoint transitional employees to a new term are not grievable.

Transitional employees may be separated for lack of work at any time. Such separation is not grievable except where it is alleged that the separation is pretextual.

Transitional employees may be disciplined or removed within the term of their appointment for just cause and any such discipline or removal will be subject to the grievance-arbitration procedure, provided that within the immediately preceding six months, the employee has completed ninety (90) work days, or has been employed for 120 calendar days, whichever comes first.

In the case of removal for cause within the term of an appointment, a transitional employee

shall be entitled to advance written notice of the charges against him/her in accordance with the provisions of Article 16 of the National Agreement.

This Section c is effective June 7, 1996.

11. Health Insurance

After an initial appointment for a 360-day term and upon reappointment to another 360-day term, any eligible non-career transitional employee who wants to pay health premiums to participate in the Federal Employees Health Benefits (FEHB) Program on a pre-tax basis will be required to make an election to do so in accordance with procedures to be published as soon as administratively practicable. The total cost of health insurance is the responsibility of the non-career transitional employee.

12. Higher Level Pay

Effective June 8, 1996, in the event a transitional employee (TE) is temporarily assigned to a higher level position, such employee will be paid at the higher level only for the time actually spent on such job. This language should not be construed to encourage the Postal Service to temporarily assign such employees to higher level positions.

This memorandum is found on page 259 of the 1998 National Agreement.

ATTACHMENT A

TRANSITIONAL EMPLOYEE ANNUAL LEAVE PROVISIONS:

I. GENERAL

A. Purpose. Annual leave is provided to transitional employees for rest, recreation, emergency purposes, and illness or injury.

1. Accrual of Annual Leave. Transitional employees earn annual leave based on the number of hours in which they are in a pay status in each pay period.

Rate of Accrual	Hours in Pay Status	Hours of Annual Leave Earned Per Pay Period
1 hour for each	20	1
unit of 20 hours	40	2
in pay status in	60	3
each pay period	80	4 (max.)

2. Biweekly Crediting. Annual leave accrues and is credited in whole hours at the end of each biweekly pay period.

3. Payment For Accumulated Annual Leave. A separating transitional employee may receive a lump-sum payment for accumulated annual leave subject to the following condition:

a. A transitional employee whose separation is effective before the last Friday of a pay period does not receive credit or terminal leave payment for the leave that would have accrued during that pay period.

II. AUTHORIZING ANNUAL LEAVE

A. General. Except for emergencies, annual leave for transitional employees must be requested on Form 3971 and approved in advance by the appropriate supervisor.

B. Emergencies and Illness or Injury. An exception to the advance approval requirement is made for emergencies and illness or injury; however, in these situations, the transitional employee must notify appropriate postal authorities as soon as possible as to the emergency or illness/injury and the expected duration of the absence. As soon as possible after return to duty, transitional employees must submit Form 3971 and explain the reason for the emergency or illness/injury to their supervisor. Supervisors approve or disapprove the leave request. When the request is disapproved, the absence may be recorded as AWOL at the discretion of the supervisor as outlined in Section IV.B below.

III. UNSCHEDULED ABSENCE

A. Definition. Unscheduled absences are any absences from work that are not requested and approved in advance.

B. Transitional Employee Responsibilities. Transitional employees are expected to maintain their assigned schedule and must make every effort to avoid unscheduled absences. In addition, transitional employees must provide acceptable evidence for absences when required.

IV. FORM 3971, REQUEST FOR, OR NOTIFICATION OF, ABSENCE

A. Purpose. Application for annual leave is made in writing, in duplicate, on Form 3971, Request for, or Notification of, Absence.

B. Approval/Disapproval. The supervisor is responsible for approving or disapproving application for annual leave by signing Form 3971, a copy of which is given to the transitional employee. If a supervisor does not approve an application for leave, the disapproved block on Form 3971 is checked and the reasons given in writing in the space provided. When a request is disapproved, the reasons for disapproval must be noted. AWOL determinations must be similarly noted.

ATTACHMENT B

IMPACTED OFFICE EMPLOYEE STATUS REPORT

Projected Reduction for Transition Period:

LDC 11	_____
LDC 12/Letters	_____
LDC 12/Flats	_____
LDC 13	_____
Other Clerical; except LDC 42	_____
Total:	_____

QUARTERLY UPDATE

FULL-TIME:	Baseline	PQ1	PQ2	PQ3	PQ4
LDC 11	____	____	____	____	____
LDC 12/Letters	____	____	____	____	
LDC 12/Flats	____	____	____	____	____
LDC 13					
Other Clerical; except LDC 42	____	____	____	____	____
Total:	____	____	____	____	____

PART-TIME:	Baseline	PQ1	PQ2	PQ3	PQ4
LDC 11	____	____	____	____	____
LDC 12/Letters	____	____	____	____	____
LDC 12/Flats	____	____	____	____	____
LDC 13	____	____	____	____	____
Other Clerical; except LDC 42	____	____	____	____	____
Total:	____	____	____	____	____

POSITIONS WITHHELD--SEE ATTACHMENT B1

ATTACHMENT B1

Positions Withheld

Transitional Employee's Name	Job Number & Assignment Date

ATTACHMENT B2

Positions Held Pending Reversion

Transitional Employee's Name	Assignment Job Number

ATTACHMENT B3

Part-time Assignments

Transitional Employee's Name and Assignment Date	Replaced Part-time Employee's Name

ATTACHMENT C

REGIONAL COMPLEMENT REDUCTION REPORT
REGION _____ FY _____
PROJECTED REGIONAL REDUCTION _____

Division _____

MSC:	Projected Reduction:
_____	_____
_____	_____
_____	_____
_____	_____
_____	_____

Divisional Total: _____

	ATTRITION				POSITIONS WITHHELD			
Impacted Offices:	PQ1	PQ2	PQ3	PQ4	PQ1	PQ2	PQ3	PQ4
_____	_____	_____	_____	_____	_____	_____	_____	_____
_____	_____	_____	_____	_____	_____	_____	_____	_____
_____	_____	_____	_____	_____	_____	_____	_____	_____
*DIVISIONAL SUBTOTAL:	_____	_____	_____	_____	_____	_____	_____	_____

* Regional totals calculated on final page of report.

ATTACHMENT C - Continued

REGIONAL COMPLEMENT REDUCTION REPORT
SUMMARY

_____REGION / FY_____

PROJECTED REGIONAL REDUCTION: _____

REGIONAL TOTALS

ATTRITION:

Postal Quarter (PQ) 1 _____ PQ 2 _____ PQ 3 _____ PQ 4_____

Fiscal Year _____ TOTAL: _____

POSITIONS WITHHELD:

Postal Quarter (PQ) 1 _____ PQ 2 _____ PQ 3 _____ PQ 4 _____

Fiscal Year _____ TOTAL: _____

APPENDIX B
APWU Transitional Employee
Arbitration Award

ARBITRATION PROCEEDINGS

UNITED STATES POSTAL SERVICE

AND

AMERICAN POSTAL WORKERS UNION
AFL-CIO

SUPPLEMENTAL OPINION AND AWARD

BOARD OF ARBITRATORS

JACK CLARKE, Chairperson
R. THEODORE CLARK, JR., USPS Board Member
JOEL POPKIN, APWU Board Member

Washington, D.C.
Date: June 7, 1996

DECISION OF ARBITRATORS

During the course of the 1995 interest arbitration proceeding, the parties agreed to defer the resolution of certain issues. This approach, which is reflected on pages 8-9 of the Board's October 1,1995 decision, necessitated additional hearings with respect to all transitional employee (TE) issues, including the duration of the parties' November 2, 1993 agreement regarding Remote Bar Coding System (RBCS) work. Seven days of hearings were held between April 1-20, 1996, and the Board met in Executive Session on April 20 and June 6-7, 1996.

Representing the Postal Service at the hearings were Edward F. Ward, Jr., Managing Counsel, National Litigation; D. Richard Froelke, Manager, Negotiations Planning and Support; Kevin B. Rachel, Labor Relations Counsel; Howard J. Kaufman, Senior Counsel, NLRB; and David A. Stanton, Attorney, National Litigation. The APWU was represented by Arthur Luby, Darryl Anderson, Anton Hajjar and Lee Jackson of the law firm of O'Donnell, Schwartz & Anderson.

The transitional employee classification was established pursuant to the June 12, 1991 Interest Arbitration Award issued by the Board chaired by Arbitrator Richard Mittenthal, which Award covered postal employees represented by the APWU and the National Association of Letter Carriers, AFL-CIO. The TE employee category was created to assist the Postal Service in dealing with the impact of the implementation of its massive automation program on its workforce. The wages, benefits, and basic terms of employment for APWU TEs were resolved in a December 3, 1991 agreement between the Postal Service and the APWU. Pursuant to the Mittenthal Award and the December 3, 1991 agreement, TEs are non-career, bargaining unit employees who are hired for terms of employment not to exceed 359 calendar days for each such appointment. Some, but not all, of the benefits and working conditions of career employees apply to TEs.

The significance of the TE category was increased even further when the parties entered into the November 2, 1993 agreement to perform in-house the work related to RBCS. Part of this agreement provided that up to 70% of the bargaining unit work hours for this effort could be performed by TEs.

In these supplemental proceedings, the Postal Service took the position that TEs should receive no increase in wages or benefits and no changes in working conditions. As part of this position, the Postal Service vigorously advanced the view that the $2,517 COLA roll-in which became part of the TEs' basic pay, effective February 5, 1995, as a result of National Arbitrator Snow's January 26, 1996 decision, should be "rolled-out" and not included in TE basic pay in the future. In addition, the 1993 RBCS agreements, and their progeny, should be "sunset," or terminated immediately, thus allowing the Postal Service the opportunity to once again consider contracting out the keying and maintenance work associated with the RBCS.

The APWU was equally adamant in its position that the RBCS Agreements remain unchanged and that TEs should receive the same increases in wages as that enjoyed by career employees, pursuant to this Board's October 1, 1995 Award, as well as past COLA roll-ins and future COLA payments applicable to the career work force. In addition, the APWU sought improvements in TE benefits and working conditions. This would include, inter alia, the provision of health benefits coverage as well as just cause protections for TEs.

AWARD OF THE BOARD OF ARBITRATION

1. Wages

Transitional employees on the payroll during the pay period ending July 5, 1996, will be paid an hourly rate of pay in accordance with Table 1 for the duration of the 1994 National Agreement.

Employees initially appointed to transitional employee positions on or after July 6, 1996, will be paid an hourly rate of pay in accordance with Table 2. Effective November 23, 1996, such employees shall be paid an hourly rate of pay in accordance with Table 3. Effective November 22, 1997, such employees shall be paid an hourly rate of pay in accordance with Table 4. Effective November 7, 1998, such employees shall be paid an hourly rate of pay in accordance with Table 5.

tables setting forth the foregoing hourly rates of pay are attached.

2. Shift Differential

As soon as administratively practicable, transitional employees on the payroll as of the date of this Award shall be paid a one-time cash payment equal to twelve cents ($.12) times the number of hours for

which each was paid a shift differential premium during the thirteen (13) accounting periods ending immediately prior to issuance of this Award.

Effective for the period July 6, 1996 through November 21, 1997, for time worked between the hours of 6:00 p.m. and 6:00 a.m. transitional employees shall be paid additional compensation at the applicable flat dollar amount at each pay level in accordance with Appendix A attached hereto. Effective November 22, 1997, for time worked between the hours of 6:00 p.m. and 6:00 a.m. transitional employees shall be paid additional compensation at the applicable flat dollar amount at each pay level in accordance with Appendix B attached hereto.

3. Term of Appointment

Effective on the date of this Supplemental Award, transitional employees, including transitional employees on the payroll as of the date of this Supplemental Award, will be hired for a term not to exceed 360 calendar days and will have a break in service of at least 5 days between appointments.

4. Health Insurance

After an initial appointment for a 360-day term and upon reappointment to another 360-day term, any eligible non-career transitional employee who wants to pay health premiums to participate in the Federal Employees Health Benefits (FEHB) Program on a pre-tax basis will be required to make an election to do so in accordance with procedures to be published as soon as administratively practicable. The total cost of health insurance is the responsibility of the non-career transitional employee.

5. Higher Level Pay

Effective the first pay period following the issuance of this Supplemental Award, in the event a transitional employee (TE) is temporarily assigned to a higher level position, such employee will be paid at the higher level only for the time actually spent on such job.

This language should not be construed to encourage the Postal Service to temporarily assign such employees to higher level positions.

6. Reporting Pay

Effective on the date of this Supplemental Award, any transitional employee (TE) who is scheduled to work and who reports shall be guaranteed two (2) hours of work or pay. Such work or pay shall not be guaranteed if such employees are directed not to report ahead of the time they were scheduled to report to work.

7. Just Cause

The separation of transitional employees upon completion of their 360-day term and the decision to not reappoint transitional employees to a new term are not grievable.

Transitional employees may be separated for lack of work at any time. Such separation is not grievable except where it is alleged that the separation is pretextual.

Transitional employees may be disciplined or removed within the term of their appointment for just cause and any such discipline or removal will be subject to the grievance-arbitration procedure, provided that within the immediately preceding six months, the employee has completed ninety (90) work days, or has been employed for 120 calendar days, which ever comes first. In any such grievance, while the concept of progressive discipline will not ordinarily apply, the appropriateness of the discipline may be considered.

In the case of removal for cause within the term of an appointment, a transitional employee shall be entitled to advance written notice of the charges against him/her in accordance with the provisions of Article 16 of the National Agreement.

This section 7 is effective on the date of issuance of this Supplemental Award.

8. Light Duty

While the Board does not grant the request to have Article 13 apply to transitional employees, the Board does not understand that Article 13 prohibits the assignment of light duty to transitional employees.

9. Career Employment Opportunities

The Board directs that the Memorandum of Understanding attached as Appendix C concerning career employment opportunities be attached to the National Agreement.

10. All Other Items

All proposals not specifically dealt with by this Supplemental Award have either been withdrawn or denied by the Board of Arbitration.

_____
Jack Clarke, Chairperson

_____
R. Theodore Clark, Jr.
USPS-Appointed Member

_____
Joel Popkin
APWU-Appointed Member
Dissenting
Board Member Popkin's dissent will be filed separately.

This memorandum is found on page 284 of the 1998 National Agreement.

Emergency Procedure Action Involving Employee's Misconduct is Considered Discipline

In an August 3, 1990 NALC national level arbitration decision (H4N-3U-C 58637 and H4N-3A-C 59518) before Arbitrator Richard Mittenthal, the Unions took the position that an employee placed on non-duty, non-pay status pursuant to "Article 16.7. Emergency Procedure," has been disciplined, and that such discipline is subject to "just cause" provisions and to advance written notice of charges. The APWU intervened in support of the NALC position. It was the Postal Service's contention that the placement of an employee on non-duty, non-pay status pursuant to 16.7 is an administrative action rather than discipline, that management needs only show "reasonable cause" rather than "just cause" to support its action, and that no written notice is required.

Arbitrator Mittenthal concluded that the "emergency procedure" is a recognition that situations do arise where supervision must act "immediately" in suspending an employee because of immediate risks or dangers which do not allow the more time-consuming procedures of Sections 4 and 5. Thus, Section 7 is a permissible variation from the conventional suspensions contemplated by the parties. But it is a suspension nonetheless, one which must be considered an integral part of the Article 16 "discipline procedure."

However, Arbitrator Mittenthal also concluded:

> "...that a Section 7 suspension should in appropriate circumstances be regarded as discipline. I emphasize "appropriate circumstances" because of one other significant factor. Not all of the Section 7 situations which prompt Management's use of the "emergency procedure" involve employee misconduct. Management can invoke Section 7 when the employee's retention on the job (1) 'may result in damage to ... property or loss of mail or funds' or (2) 'may be injurious to self or others.' These situations may or may not involve employee misconduct."

For example, an employee who suffers from a physical ailment which is ordinarily kept under control, however, notwithstanding the medication, the employee suddenly loses control and can no longer perform his or her job safely. Using a similar example, Arbitrator Mittenthal concluded that, no doubt Management would invoke Section 7 because the employee "may be injurious to self or others." But because there is no real misconduct, the employee is not subject to discipline. In this situation, the employee is placed on non-duty, non-pay status in the interest of safety. "The emergency procedure", in other words, is broad enough to encompass displacement from the job for non-disciplinary reasons.

In regard to just cause, Arbitrator Mittenthal ruled that if the "emergency procedure" action is discipline for alleged misconduct, then management is subject to a just cause test. If on the other

hand, the action is not prompted by misconduct and hence is not discipline, the just cause standard is not applicable. Management then needs only show "reasonable cause" (or "reasonable belief"), a test which is easier to satisfy.

He also found that the fact that no "advance written notice" is required does not mean that Management has no notice obligation whatever. The employee suspended pursuant to Section 7 has a right to grieve the suspension, and is entitled to such notice within a reasonable period of time following the date of his displacement.

STANDARD FORMS

The following are STANDARD FORMS found in this section:

Appeal to Arbitration From Step 2 Grievance Form

Standard Notification Form - Step 3 Interpretive Referral

Standard Notification Form - Regular Arbitration Interpretive Referral

Request for Interpretive Review Form

AMERICAN POSTAL WORKERS UNION, AFL-CIO

APPEAL TO ARBITRATION FROM STEP 2 GRIEVANCE FORM

GRIEVANT - PERSON OR UNION	WORK LOCATION CITY, STATE AND ZIP CODE	USPS GRIEVANCE #

DISCIPLINE (NATURE OF) OR CONTRACT (ISSUE)	CRAFT	DATE OF STEP 2	APWU GRIEVANCE #

TO: _____

_____

_____

_____

_____

DATE: _____

Please be advised that pursuant to Article 15, Section 2 Step 2(h) of the Collective Bargaining Agreement, the Union hereby is appealing the above-referenced grievance to arbitration. This appeal includes a copy of the Step 2 appeal form, the employer's written Step 2 decision and the union's corrections and additions to the Step 2 decision if submitted.

9 Check if Applicable — The Postal Service refused or failed to schedule a Step 2 meeting or render a written Step 2 decision within the prescribed time limits and to provide the union a full statement of the Employer's understanding of (1) all relevant facts, (2) the contractual provisions involved, and (3) the detailed reasons for denial of the grievance.

LOCAL UNION (NAME OF)	ADDRESS	CITY	STATE	ZIP

COPY - LOCAL FILE
COPY - USPS STEP 2 DESIGNEE

SUBMIT UNION'S REGIONAL COPY WITH FILE TO:

NATIONAL BUSINESS AGENT

_____

_____

_____

_____

_____

Sincerely,

_____

_____

Authorized Union Rep.

STEP 3 INTERPRETIVE REFERRAL

(Name)_____

(Title)_____

(Address)_____

(City, State)_____ (ZIP)_____

USPS Grievance No.:_____

APWU Grievance No.:_____

Grievant:_____

Location:_____

Dear _____ :

Please be advised that the ____(USPS) or (APWU)____ believes that an interpretive issue under the National Agreement or some supplement thereto which may be of general application is involved in the above-referenced grievance. Pursuant to Article 15.2 Step 3(c) of the National Agreement, the issue will be discussed with the appropriate National Representative at the Headquarters level who is responsible for determining whether the issue is interpretive.

When a national representative determines that an issue is interpretive and initiates a dispute, the party initiating the dispute will provide a copy of the written notice to their Step 3 representative. In the event a dispute is not initiated within 30 days by a national representative, the parties at Step 3 will meet no later than fifteen (15) days from the expiration of the 30-day period. Thereafter, the procedures and time limits applicable to Step 3 grievances will apply.

Sincerely,

_____

_____

REGULAR ARBITRATION INTERPRETIVE REFERRAL

(Name)_____

(Title)_____

(Address)_____

(City, State)_____ (ZIP)___

USPS Grievance No.:_____

APWU Grievance No.:_____

Grievant:_____

Location:_____

Dear _____:

Please be advised that the _____(USPS) or (APWU)_____ believes that an interpretive issue under the National Agreement or some supplement thereto which may be of general application is involved in the above-referenced grievance. Pursuant to Article 15.5.B.5 of the National Agreement and the MOU on Step 4 Procedures (Page 331), the issue will be discussed with the appropriate National Representative at the Headquarters level who is responsible for determining whether the issue is interpretive.

When a national representative determines that an issue is interpretive and initiates a dispute, the initiating party will provide a copy of the written notice to their respective advocate. In the event that a dispute is not initiated by a national representative and the case was scheduled to be heard in arbitration at the time of referral, or was being heard in arbitration, the case will be processed in accordance with the provisions of Article 15.5.B.5 and the MOU on Step 4 Procedures within 45 days from receipt of the written notification. If the case had not yet been scheduled for arbitration, it will be placed back on the appropriate arbitration docket to be scheduled in the order originally appealed, unless the parties agree otherwise.

Sincerely,

_____

_____

REQUEST FOR STEP 4 INTERPRETIVE REVIEW

DATE:_____

Greg Bell, Director
Industrial Relations
American Postal Workers
Union, AFL-CIO
1300 L Street. NW
Washington, D.C. 20005

USPS Grievance #_____
APWU Grievance #_____
Grievant:_____
Location:_____

Dear Brother Bell:

Please be advised that I am requesting an interpretive review of the above-referenced case. This case was certified for regional arbitration on _____ pending review at the national level regarding whether an interpretive issue under the National Agreement or some supplement thereto which may be of general application is involved in the case.

The following represents the specific contract article(s) or Handbook provision(s) involved, to be interpreted: _____

_____

The specific issue to be interpreted is: _____

_____

_____

_____

I believe this issue is interpretive because: _____

_____

_____

_____

_____

Yours in union solidarity,
National Business Agent

_____
(Print or Sign Name)